User Manual

Allocation & Closing

This manual describes the features of the Allocation and Closing module in CCH Tagetik.

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Table of contents

Allocation & Closing Overview 1

Data Model Configuration 8

General configuration 9

Account 11

Allocation and closing rules 11

Routine 13

Utility 15

Rules 16

Utility 20

Details 20

Utility 26

Job 28

Execution plan 29

Advanced rules 31

Process parametrization for the "Allocation & Closing" 32

User Tools 33

Setup 33

Run Data processing 34

Run from form 37

Run from job 40

Run from workflow 42

"Allocation and closing" data processing - Entries creation 44

Periodic Allocations 45

Allocation between entities 47

Closing entries clean-up 48

Report 50

Entries details report 50

Allocation & Closing Overview

Nowadays the companies operate in a very competitive market and manage a large amount of products, sales channels and customers. So they have to apply some methods for checking the production costs and the sales revenues in order to guarantee a responsible financial management of the resources. Therefore it is necessary to have a "fast closing" of the business in order to monitor the business trend quickly and to implement a cost and revenues allocation method in which the business units or cost centers are directly responsible for the services they use.

Tagetik provides a powerful allocation engine which, according to the double entry logic, allows you to perform the accounting closing, namely to generate automatic journals of accounting data in order to get a "fast closing" without waiting for the accounting closing (for example, the registration of accruals and deferrals).

The **Allocation & Closing** engine of Tagetik allows you to:

- **turn over the costs and / or revenues** on specific business units, products, services or activities which generated them directly or indirectly. The system uses specific **drivers** (preset or calculated by the procedure itself), which can be accounting or statistic values (gross margin, sales revenues, units, sq m, etc.).

  For example, if we wan to allocate the administrative costs on different departments, we can select as driver the number of invoices issued by each department.

  Other examples are the allocation of the IT costs according to the number of existing terminals in each cost center or the management of the charge-back according to a "market price" logic rather that to the "full price" logic.

- **adjust data** from the general accounting or other subsystems.

  This is useful whenever it is necessary to perform a "fast" monthly closing with a partial set of original data. In this case it is possible to retrieve data from different "feeding subsets" and use them to "fill the gaps", defining the master subsystem for each n-tuple (account - custom dimension).

  For example, it is possible to adjust the energy costs using the amounts inserted in the Budget scenario or retrieve the information about the assets from an external assets management system.

  In this case Tagetik compares the amounts deriving from the accounting with those defined at Budget level and generates an accounting data automatic journal in order to obtain budget data as final amount. The system can also generate the related BS counterparty; starting from an accounting data "balanced" with the automatic balancing, Tagetik keeps such balancing.

Another example is the "adjustment" of data deriving from the invoicing system or from the personnel costs which are calculated according to a HR system rather than FS data.

- **perform What if analysis**

  Different allocation models can be applied to the same set of original data in order to compare then the obtained results.

  For example, if the user is not sure that the number of laptops or the number of employees is the best driver for allocating the IT costs, it is possible to create some allocation models, run them and compare the results in a report. This allows making more reliable decisions.

In order to obtain the results described above, the engine manages two "families" of data processing:

- the **ALLOCATIONS**, which are divided into the following types:
  - **allocation**, in this case data is shared according to the percentages obtained by a driver (which is always defined with an account)
  - **allocation on accounts**, in this case data on an account (or accounts hierarchy node) is shared on other accounts with the percentages obtained by a driver (defined with several accounts)
  - **partial allocation**, in this case data is not wholly allocated since the definition of the driver is "partial". For further details see the example below.
  - **reclassification**, in this case the amount on a source n-tuple is completely allocated on a target n-tuple (it is a 100% allocation in which no driver is required)
  - **transfer price (PxQ)**, in this case the amount to allocate is calculated as "Price X Quantity"

- the **SCENARIO TARGET MATCHING** which, unlike the "out-and-out" allocations, consists in imposing a specific amount on data. This is used when, for management purposes, the monthly closings have to be done but owned data is partial and data present on other scenarios are used to complete it. For example when actual values are completed with budget data. The following data processing types belong to this family:
  - **Scenario Target Matching**, in this case the amount defined for the same data on the "target scenario", namely the one containing the target values, is imposed on data present on the current scenario.
  - **Calculated Target Matching**, in this case the system calculates the "target" amounts to be "imposed". The target amount is obtained as the percentage of a reference account (**Calculated Target Matching (through "fixed %")**). If such percentage is calculated, we speak of **Calculated Target Matching (through "calculated %" as a ratio)**

The data processing type to be run, together with the other information, is defined in the **Allocation & Closing rules** which are used by the system to generate the related double entries.


Allocations and monthly splitting work on the basis of the entity currency amount . If this amount is not defined, the system returns null or incorrect values

The examples below describe the above mentioned data processing types.

EXAMPLES

Example 1: Allocations Family

- **Allocation**: Assume that we allocate the amount 100 attributed to the account PL00001 and to the cost center C00 on the cost centers C01 and C02 according to the driver shown in the table below.

Data to process:

Account	Cost center	Amount
PL00001	C00	100

Driver:

Account	Cost center	Amount
DRV1	C01	8
DRV1	C02	2

Resulting journal entries:

Account	Cost center	Amount	Journal entry
PL00001	C00	-100	Chargeback: Entry used by the system to "empty" the source data
PL00001	C01	100*8/(8+2) = 80	Allocation
PL00001	C02	100*2/(8+2) = 20	Allocation

We can see that:

- the driver indicates the "weight" used by the system to split 100 on the two cost centers C01 and Co2
- the system always writes the entries according to the double entry logic, so the sum of the amounts related to the write off and allocation entries is always 0.

- **Allocation on accounts**: Assume that we allocate the amount 100 attributed to the account PL00001 (independently of the monthly splitting on the custom dimensions 1...5) on the accounts PL00002 and PL00003 according to the drivers DRV1 and DRV2 shows in the table below.

Data to process:

Account	Amount
PL00001	100

Driver:

Target Account	Driver Account	Amount
PL00002	DRV1	8
PL00003	DRV2	2

Resulting journal entries:

Account	Amount	Journal entry
PL00001	-100	Chargeback: Entry used by the system to "empty" the source data
PL00002	100*8/(8+2) = 80	Allocation
PL00003	100*2/(8+2) = 20	Allocation

We can see that:

- the drivers indicate the "weight" used by the system to split 100 on the two accounts PL00002 and PL00003
- the data processing generates the allocation entries on PL00002 and PL00003 as follows:
  - 100 for the contribution of the driver DRV1 divided by the sum of both drivers' contribution
  - 100 for the contribution of the driver DRV2 divided by the sum of both drivers' contribution
- the system always writes the entries according to the double entry logic, so the sum of the amounts related to the write off and allocation entries is always 0.

- **Partial allocation**: Assume that we allocate the amount 100 attributed to the account PL00001 and to the cost center C00 on the cost centers C01 and C02 according to the driver shown in the table below.

Data to process:

Account	Cost center	Amount
PL00001	C00	100

Driver:

Account	Cost center	Amount
DRV1	C01	8
DRV1	C02	2
DRV1	GEN	6

Resulting journal entries:

Account	Cost center	Amount	Journal entry
PL00001	C00	-62.5	Chargeback: Entry used by the system to PARTIALLY "empty" the source data
PL00001	C01	100*8/(8+2+6) = 50	Allocation
PL00001	C02	100*2/(8+2+6) = 12.5	Allocation

We can see that:

- the cost center C00 allocates "data to allocate" (100 on the account PL00001) according to the driver DRV1 filtered on the cost centers C01 and C02
- the DRV1 is defined on C01 and C02, and the total value is calculated omitting this filter (therefore it considers also the amount on NC)
- the allocation is "partial" since only part of data has been allocated (62,5)
- the system always writes the entries according to the double entry logic, so the sum of the amounts related to the write off and allocation entries is always 0.

- **Reclassification**: we allocate the amount 100 attributed to the account PL00001, cost center C00 and product P01 on the product P02.

Data to process:

Account	Cost center	Product	Amount
PL00001	C00	P01	100

Resulting journal entries:

Account	Cost center	Product	Amount	Journal entry
PL00001	C00	P01	-100	Chargeback: Entry used by the system to "empty" the source data
PL00001	C01	P02	100	Reclassification

Also in this case the system writes the entries according to the double entry logic, so the sum of the amounts related to the write off and reclassification entries is always 0.

- **Transfer price**: Assume that the prices are defined on the cost center C01 (source "entity") for the products P01 and P02 and that the cost centers C02 and C03 are the target "entities" where we have the quantities on the products P01 and P02. Finally, assume that the account on which to perform the write off is PL00001 and the one on which to perform the allocation is PL00002.

Price:

Account	Cost center	Product	Amount
PR01	C01	P01	40
PR02	C01	P02	20

Quantity:

Account	Cost center	Product	Amount
QT01	C02	P01	4
QT01	C02	P02	2
QT01	C03	P01	3
QT01	C03	P02	6

Resulting journal entries:

Account	Cost center	Product	Amount	Journal entry
PL00001	C01	P01	- 40*(4+3) = - 280	Chargeback on cost center C01/product P01 of the amount equal to price of P01 times the sum of quantities of the same product on all receving cost centers
PL00001	C01	P02	- 20*(2+6) = - 160	Chargeback on cost center C01/product P02 of the amount equal to price of P02 times the sum of quantities of the same product on all receving cost centers
PL00002	C02	P01	40*4 = 160	Allocation on cost center C02/product P01 of the amount equal to price of P01 times the quantity of the same cost centers/product record
PL00002	C02	P02	20*2 = 40	Allocation on cost center C02/product P02 of the amount equal to price of P02 times the quantity of the same cost centers/product record
PL00002	C03	P01	20*6 = 120	Allocation on cost center C03/product P01 of the amount equal to price of P01 times the quantity of the same cost centers/product record
PL00002	C03	P02	40*3 = 120	Allocation on cost center C03/product P02 of the amount equal to price of P02 times the quantity of the same cost centers/product record

Also in this case the system writes the entries according to the double entry logic, so the sum of the amounts related to the chargeback and allocation entries is always 0.

Example 2: Scenario Target Matching

- **Scenario Target Matching**: We assume that we have the account PL00001 which at the actual amount from the accounting system is 20 but we know that it is a partial value (since some invoices still have to be registered) and we want to adjust it with the budget value.

Amounts to compare:

Account	Amount on Actual Scenario	Amount on Budget Scenario
PL00001	20	100

Resulting journal entries:

Account	Amount on Actual Scenario	Journal entry
PL00001	80	Scenario Target Matching - Journal entry equal to the difference between the amount booked on the account for the Budget Scenario and the amount of the same account in the Actual Scenario

- **Calculated Target Matching (through "fixed %")**: Assume that we have the account PL00001 equal to 50, that the reference account (namely the account according to which the system must calculate the amount to be imposed) is 100 and that the percentage to be used is 65%.

Data to process:

Account	Amount
PL00001	50

Reference account:

Account	Amount	%	Target
REF	100	65	100*65% = 65

Resulting journal entries:

Account	Amount	Journal entry
PL00001	65-50 = 15	Calculated Target Matching - Journal entry equal to the difference between the target amount (calculated by multiplying the reference account by the defined %) and the amount to process.

We can see that the system:

- calculates the "target" amount to be imposed by applying the percentage to the value of the reference account
- defines a entry equal to the difference between the "target" amount and the account's value

- **Calculated Target Matching (through "calculated %" as a ratio)**: we have the account PL00001 whose value is 40 on the Actual Scenario and 50 on the Budget scenario, and the REF reference account (namely the account according to which the system must calculate the amount to be imposed) is 120 on the Actual Scenario and 100 on the Budget Scenario.

Data to process:

Account	Amount on Actual Scenario	Amount on Budget Scenario
PL00001	40	50

Reference account:

Account	Amount on Actual Scenario	Amount on Budget Scenario	Calculated %	Target
REF	120	100	50/100 = 50%	120*50% = 60

Resulting journal entries:

Account	Amount	Journal entry
PL00001	65-50 = 15	Calculated Target Matching - Journal entry equal to the difference between the target amount (calculated by multiplying the Actual amount of the reference account "REF" by the % calculated as ratio of the Budget amount of "PL00001" to the Budget amount of "REF") and the Actual amount of "PL00001".

We can see that the system:

- calculates the percentage as the relationship between the value of the account PL00001 and the reference account, retrieving both values from the reference scenario (in this case the Budget)
- calculates the "target" amount to be imposed by applying the calculated percentage to the value the reference account has in the current scenario (in this case Actual)
- generates an entry equal to the difference between the "target" amount and the value the account has in the current scenario

"Allocation & Closing" module parametrization

Generally the allocation & closing rules are defined by the system administrator and, according to the rule, they are valid for a specific entity or for all entities of the group. The settings can be customized by each user, according to the degree of "freedom" let by the administrator.

The system parametrization can be:

- general parametrization (defined by the administrator)
- user parametrization (defined by each user)

General parametrization

This activity is up to the system administrator and involves the following areas:

- **Administration**. It includes the parametrization of the basic information for the data processing, namely:
  - **Data Model**: necessary for the definition of the basic tables for all processes used in Tagetik, so also for the allocation and closing data processing (accounts plan, currencies, dimensions, etc.).
  - **Process**: necessary for the execution of the allocation and closing data processing
- **Rules**. It includes the parametrization of the rules the data processing needs in order to generate the entries, namely:
  - **Allocation & closing rules**: defines all the executable allocation and closing rules
- **User rights**. It includes the parametrization of the user rights on data, specifically it defines the:
  - **Routine closing restrictions**: necessary to restrict the usage of the defined allocation and closing "rules"

User activities

It can be managed only from the *User Tools* menu present in the administrator user web interface. According to the restriction defined by the administrator, Here the user can:

- customize the provided parametrization
- run the allocation and closing data processing which generates the double entries.

Data Model Configuration

Each Tagetik application is based on a multidimensional data model. Such data model is shared by the various parametrized processes but in some cases it is necessary to set, for some dimensions, specific information in relation to the implemented process. For example, in the case of a financial planning data processing on the accounts plan, it is necessary to set for each normal account the counterparties necessary to carry out the planning journals. Such information is not required in the allocation process.

The data model configuration for the allocations and closing does not need specific settings and can be summed up in the following activities:

- enable the "Processes - Closing & allocation" option in the **general configuration** in order to indicate that the process we want to parametrize is the Allocations and closing;
- fill in the entity table;
- fill in the currencies table;
- fill in the **accounts** table;
- parametrize the carry forward rules (if there is even one rule related to the routine which provides for the carry forward in the following scenario);
- fill in the **categories** table;
- open the scenarios and their periods;
- create the **process** specifying the Business workflow step to which the allocations and closing data processing has to be related;
- relate the scenarios / periods to the relative process;
- relate the various entities, accounts and categories to the generated process;
- deploy the process.

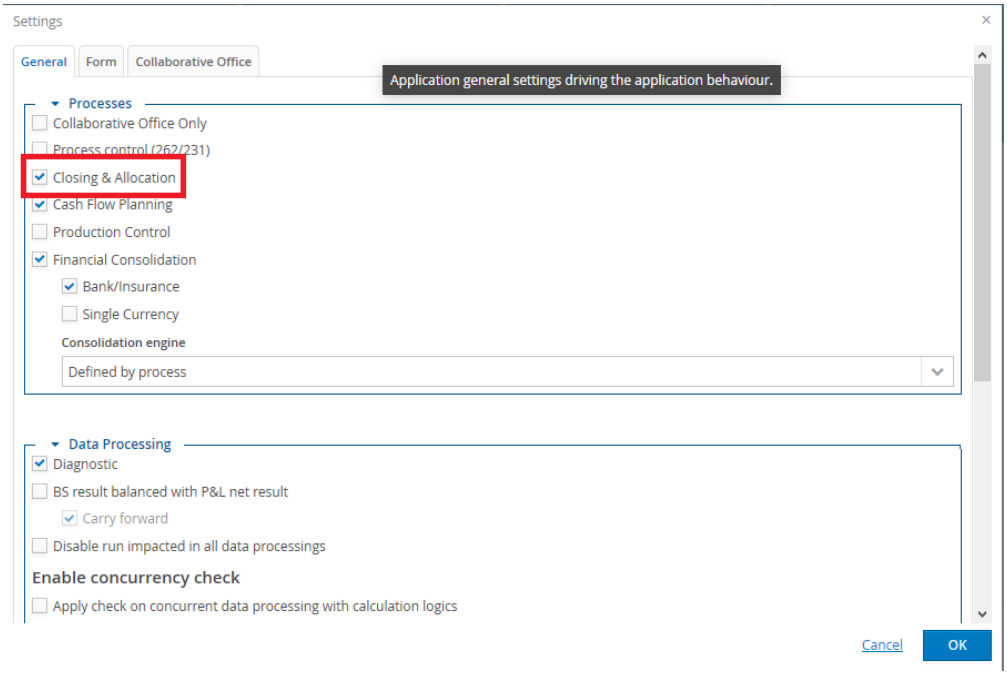
Let us now move on to the attributes, of each dimension, necessary for the allocation process. The attributes shared by the various processes are described in the "*Basic Administration*" chapter of the user manual.

General configuration

Before starting to work on the data model, it is necessary to tell Tagetik that you want to parametrize an allocation and closing process so that the system can display:

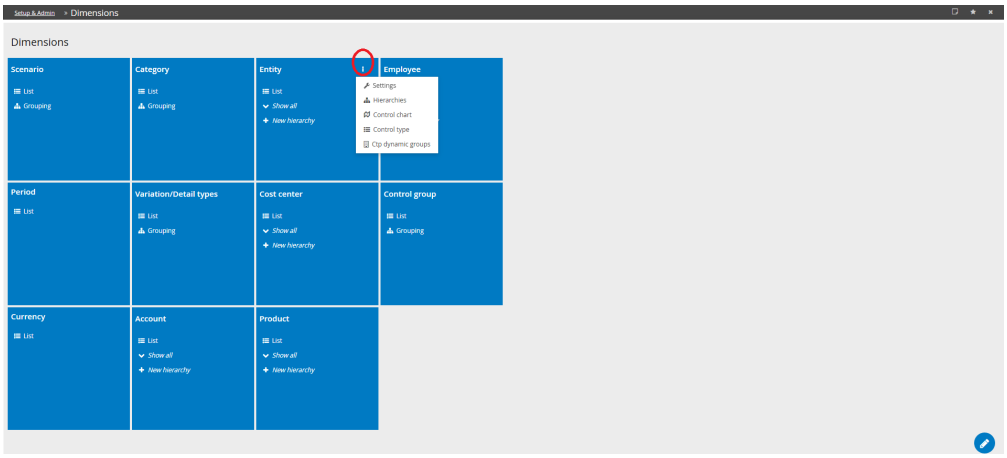
- all the necessary menu keys for this process, independently of the users' roles;
- all the necessary attributes in the management windows for this process.

This information is given by enabling the **Closing & allocation** option present in the parametrization wizard accessible from the administrator user web interface by following the path *Administrator home page > Settings ( )> General Tab* ; *Navbar > Settings ( )> General Tab* ;the option is in the *Processes* area



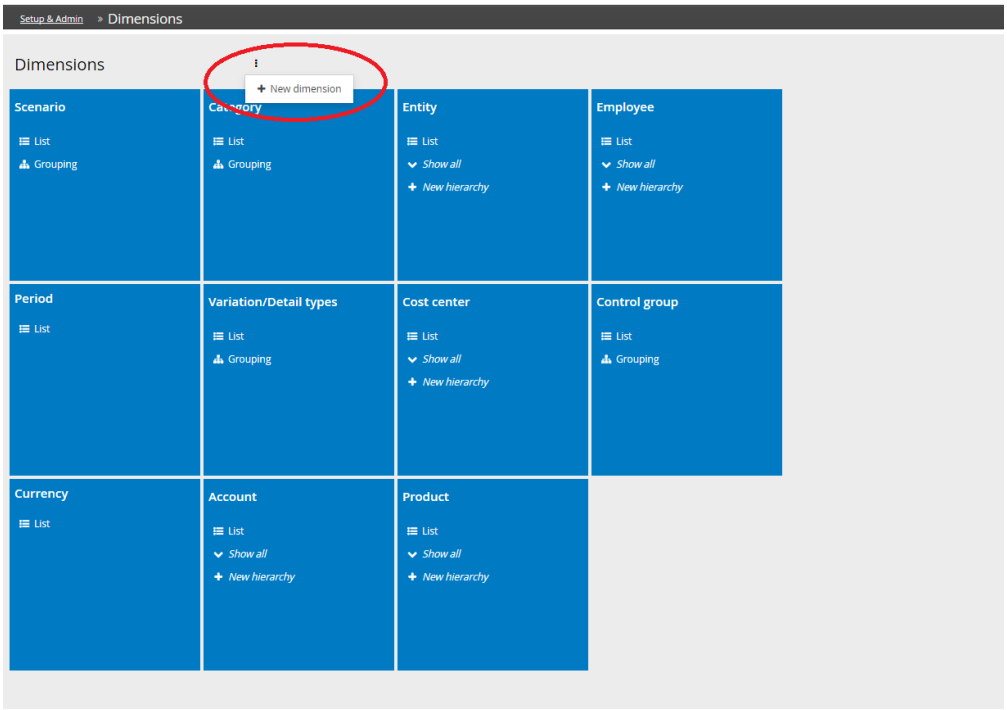
Then, it is necessary to set up the following pieces of information in the configuration of the application DB accessible from the administrator user homepage by following the path *Setup & Admin > Dimensions Tile*:

- assign a name to the **entity** dimension and to the **account** dimension. The system will use this name every time the dimension is selected / displayed. This information is also available in the Entity tile and in the Account tile by clicking on the actions menu (⋮) that pops up in the right hand corner of each tile;



- set up the "debit" sign. This information is available in the "Accounting class signs" section of the Settings menu of the accounts table.

- if necessary, enable the management of the five custom dimensions from Setup & Admin > Dimensions tile > actions menu (⋮) > New dimension



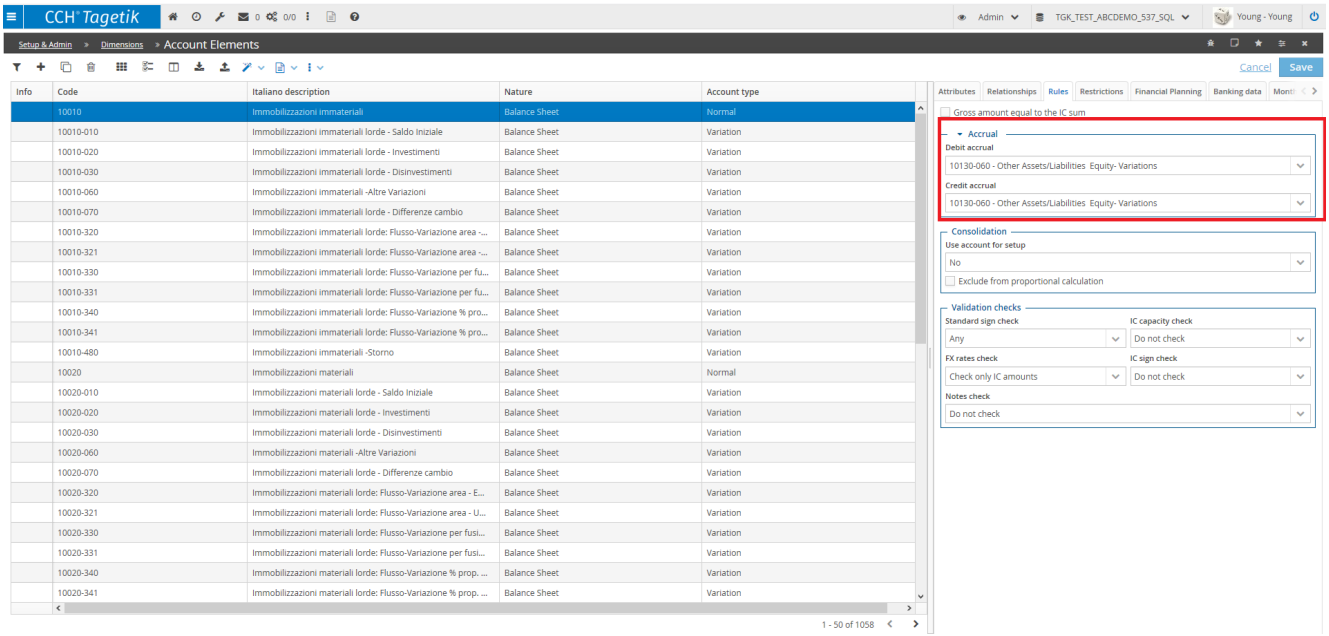
After editing the configuration settings, reload the application for the changes to take effect.

Account

The account is a mandatory dimension which identifies data in Tagetik. Any measure or metric, object of financial and statistical analysis, can be opened on the account dimension. The statistical accounts are typically used in the management reporting, as drivers in the allocation processes or for the creation of the indices (for example, revenue by passenger on a ship).

The accounts table can be accessed from the administrator user web interface by following the path *Setup & Admin > Dimensions Tile > Account Tile > Elements Navigation panel> Dimensions > Account Tile > Elements*.

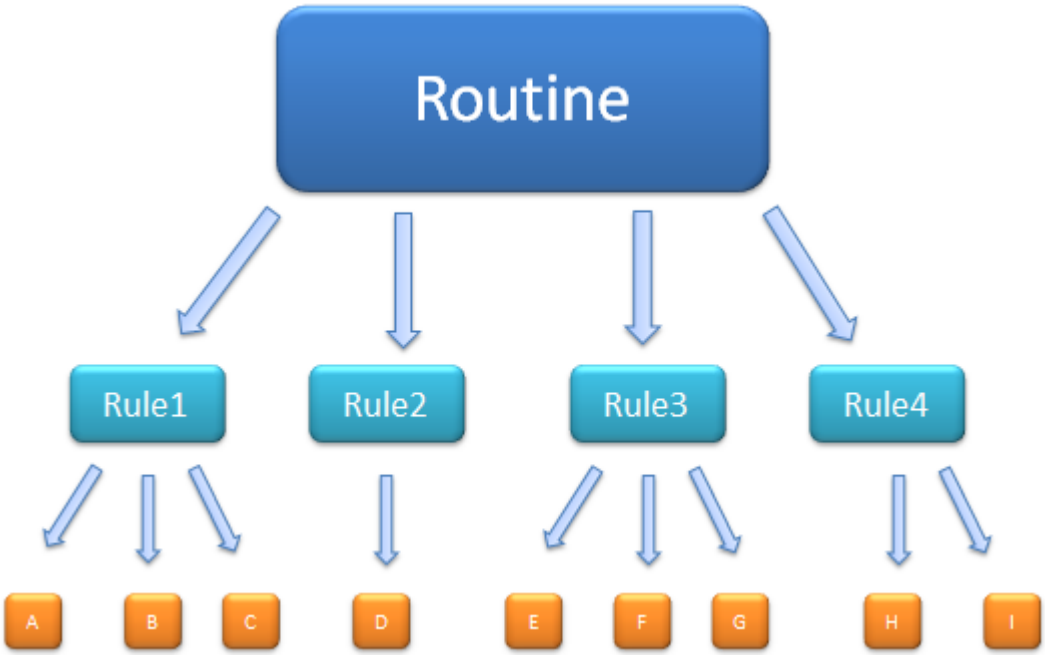
The only attribute of the specific account for an Allocations and Closing data processing is the **debit / credit accrual account** in the *Rules* tab *Accrual* section, namely the accounts on which the system registers the BS counterparty of a cost/revenue if the allocation rule includes this data processing type.



Allocation and closing rules

The allocation and closing process provides for the creation of specific routines made up of a series of information, such as the data processing type which has to be run. The system uses each routine to generate the double entries related to the write off and to the "reallocation" of data which have to be allocated.

The structure of an allocation and closing process is made up three levels and can be outlined as follows:



- **Routine**. The routine is the minimum data processing unit that can be run in an allocation and closing process and contains all the information about the routine execution, namely which dimensions are managed and which data are involved in the process. For each process it is possible to define one or more routines. Inside a routine it is possible to define one or more rules.
- **Rules**. Each routine's rule specifies the data processing type to be run (allocation, accounts allocation, reclassification...), the Accounts nature, the Category on which the deriving journals must be generated and if such journals must be carried forward in the following scenario, if and how the BS counterparty must be generated and finally further information related to the Scenarios to use as drivers. Moreover each rule contains the connection with the details which establish which data have to be managed and how.
- **Details**. The details of a rule define data to which it has to be applied, the driver to be used and the possible overrides.

In order to meet the need to run several routines at the same time, it is possible to group several routines in the same **Job**. So the job is a set of routines which are run all together and their sequence is the logical flow of their execution.

After defining the structure of the allocation and closing rules (routines, rules, details), it is necessary to configure its relationship with data to which it has to be applied. In order to define such relationship, it is necessary to define an **execution plan**. So for each scenario / period / entity, each execution plan contains the following information:

- the routine / job to be run with the related execution order
- the various scenarios to be used for filtering data which have to be processed if the user wants to set such information at plan level (with the possibility of using different scenarios for different scenarios / periods / entities) and not on the individual routine

The execution plan is defined by process, so different processes can have different execution plans.

The management of the execution plan can be accessed from the administrator user web interface:

- by following the path *Setup & Admin > Data processing tile > Allocation and Closing tile > Routine.*

Navigation panel> Data processing > Allocation and Closing tile > Routine.

- or directly from the **process** rules definition window

 The allocation process provides for some **advanced rules** which define the information the system needs to optimize the functioning of the data processing.

User rights

A distributed application like Tagetik generally involves few administrator users and many contributor users. So very often the restriction on the set of Routines which can be used by a specific user is required.

By default in Tagetik each new user has user rights on all the existing Routines. The user rights can be limited defining manually the usable Routines. To do that, it is necessary to open the users table of the application DB accessible from the administrator user web interface by following the path *Setup & Admin >User Rights tile. Navbar >User Rights* .Then select the **Other restrictions** tab

and define the **Closing: Routine** attributes as follows:

- **Unrestricted**. In this case the user can use all the existing Routines;
- **Limited**. In this case the user can use only some specific Routines. The usable Routines can be defined via a dedicated management window accessible from **Define** link that will pop up next to the field. The definition is performed only by element since no aggregation structure exists for such dimensions. Once the definition is complete, it is possible to see the defined settings from the **Definition result** link
- **By area profile**. In this case if the user belongs to an area profile, he inherits all the Routines related to that profile.

For further details consult the manual on the "User management".

Routine

The routine is the smallest data processing unit that can be run in an allocations & closing process and contains the information about the routine execution, namely which dimensions are managed and which data are involved in the process. For each application process, it is possible to define one or more routines. In each routine it is possible to define one or more rules.

The routine elements table can be accessed from the administrator user web interface by following the path *Setup & Admin > Data processing > Allocations & closing > Routine*

Navigation panel> Data processing > Allocations & closing > Routine

Each routine is identified by:

- a **code**
- a **description**;
- a **rule type** ; it is possible to choose whether the routine will contain Allocation rules, Scenario Target Matching rules, or both
- the **dimensions managed** inside the routine. It is possible to manage the Entity and all the Custom dimensions enabled in the Data Model;
- the **categories** defined for :
  - Routine (default): the categories that will be processed are established on the routine, therefore they are valid for all the rules of the routine.

    for the allocations, it is necessary to define:

    - *Input* : category to process.
    - *Driver* : category on which the driver of the data process is filtered

    for the Scenario Target Matching:

    - *Input* : category on which the data to process is filtered.
    - *Target* : category on which the target data is filtered.
    - *For "ratio %" calculation* : category on which the target data for the Calculated Target Matching (through "calculated %" as a ratio) rules is filtered .

- *Actual for fast* : category on which the target data for the Scenario Target Matching rules with fast period is filtered

- Rule: the categories to process, that can vary from rule to rule, are specified for each rule of the routine

Such categories can be defined by specifying:

- one single category of "Amount" type or "Entity journals" type. In this case, it is necessary to tell the system that the definition is made by "Element" and then specify the category
- or a node of the categories grouping. In this case, it is necessary to tell the system that the definition is done "By hierarchy node" and then specify the node

Advanced:

- **Entries creation method**
  - Generate entity journals and detailed entries
  - Generate only detailed entries
  - Generate only Entity journals

- **Counterparty settings**

Read CTP detail : Indicates if the CTP detail has to be kept in the entries generated by the data processing

- Yes
- No (default)

Generate CTP on allocation between Entities:Select this option if you want to manage the **allocations between entities**. The system will generate the Ctp in the allocation entries and will convert data according to the account's nature(accounts of P&L and other variations nature are converted at the average FX rate, whereas the accounts of BS, other stocks and Guar. and Comm. nature are converted at the final FX rate).

- Yes
- No (default)

The system will generate the following entries:

Write off: Entity= Seller Entity > Ctp Entity = Driver's Entity

Allocation: Entity= Driver's Entity > Ctp Entity = Seller Entity

For the allocation between entities to work properly, it is necessary to enable both options above.

- **Index for allocations**

  Specifies the columns on which to index the temporary allocations table during the data processing in order to improve its performance. This field makes sense only for DBMS SQLServer.

  It can contain any combination among the following values: COD_SCENARIO, COD_PERIODO, NUM_RETTIFICA, COD_REGOLA_VERSIONE, COD_REGOLA, SEQUENZA, NUM_SCRITTURA, COD_AZIENDA, COD_CONTO, NATURA_CONTO, COD_DEST1, COD_DEST2, COD_DEST3, COD_DEST4, COD_DEST5, COD_CATEGORIA, COD_VALUTA, COD_AZI_CTP, COD_DEST2_CTP, COD_VALUTA2, AZIENDA_PROV, CONTO_PROV, DEST1_PROV, DEST2_PROV, DEST3_PROV, DEST4_PROV, DEST5_PROV.

  The format to use is <columnname1>,<columnname2>,... (e.g. COD_SCENARIO,COD_PERIODO,COD_REGOLA)

After defining the routine, it is necessary to define its **rules** from *Actions*(⋮) > Rules

Each rule is defined by the following details (*Actions*(⋮) > Detail):

Utility

Copy Routine from

The routine and its details (rules and details) can be defined manually or it is possible to copy the structure from an existing routine and then apply the needed modifications. This copy utility can be accessed from the *Actions (⋮) > Copy Routine from* window menu and allows copying the structure of a routine to another.

Before performing the copy it is necessary to select the target routine. Before performing the copy, the system deletes the parametrization of the target routine.

Routine structure report

The system allows extracting and displaying, by a report in Excel format, the structure of a routine (rules and details). This report can be accessed from *Report (* *) > Structure Report* and shows, in a "tree" structure, all the attributes defined for the routine and for its details (rules and details).

The user must specify the **routine** to display.

J11

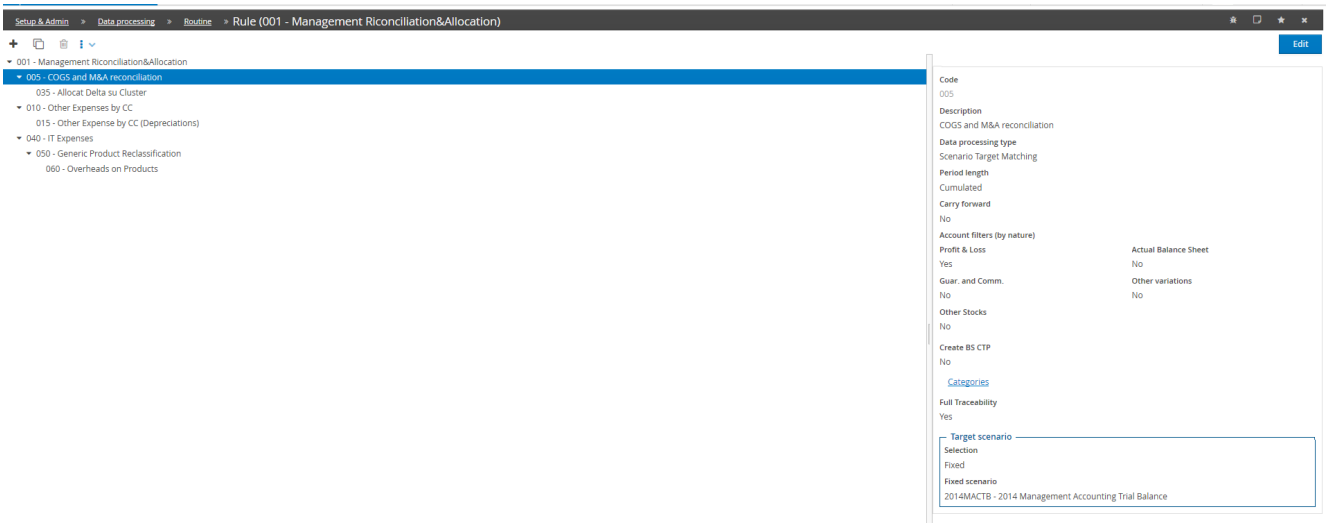
	A	B	C	D	E	F	G
1	**Routine**	**004**	**HR Allocation**				
2	Adv. management	No					
3	**Managed Dimensions**	Cost center	Employee				
4	**Categories**						
5		To Process					
6		Target					
7		For "ratio %" calculation					
8		Actual for Fast					
9		Driver					
10							
11	**Rule**	**001**	**HR allocation transfer**				
12	Data Processing type	Allocations					
13	Type	Cumulated					
14	Account nature	P&L					
15	Carry forward	No					
16	Create BS CTP	No					
17	Full Traceability	Yes					
18	Reference Scenario	Scenario for Allocation driver on the Execution plan					
19	Data Processing category	ALL3	HR transfer Allocation?				
20	**Sequence**	**10**	**WAGES AND SALARY**				
21	Do not process	No	Mark up	100			
22	**Data to process**						
23		Account	50300	Wages and salaries			
24		Cost center					
25		Employee					
26							
27	**Allocation driver**						
28					Allocate	Filter	
29		Driver	S005	Allocation % per cost center		No	
30		Driver Sign	All				
31		Cost center			Yes	No	
32		Employee			No	By element	
33							
34							
35							

The tree shown in the report can be seen at the lowest level or synthesizing (by clicking the buttons – and +).

Rules

Each routine can be made up of one or more rules. Each rule specifies the data processing type to run (allocation, accounts allocation, reclassification,...), the nature of the Accounts to which it has to be applied, the Category on which the deriving journals have to be generated and if such journals have to be carried forward in the following scenario, if and how the BS counterparty must be generated and finally further information related to the Scenarios which have to be used as drivers. Moreover each rule includes the connection with the details which establish which data have to be managed and how.

The rule can be defined by double-clicking on the routine or in the Routines table by selecting the *Actions (⋮) > Rules* menu.



The window is divided into two parts.

(1) - The **left side** of the window shows the structure of the routine's rules. The rules that compose a routine can be:

- **independent from each other**. In that case, all the rules are at the same logical level and the downstream rules won't be affected by the upstream ones
- **dependent on each other**. In this case we have a "cascade"-structure type in which the downstream rules are affected by the upstream ones. For example, in the case of cascade allocations, we may allocate also some amounts deriving from the previous allocations. In this case the system runs first the parent rule and then, in cascade, the children ones. The position of a created rule can be modified by dragging with the mouse the element to move.

(2) - The **top right side** of the window contains some of the rule's attributes that can be modified by the **Edit** button (on top of the column).

In particular:

- the **code** and the **description**
- the **data processing type** associated to the rule. The possible values are:
  - *Allocation (default value)*
  - *Accounts Allocation*
  - *Reclassification*
  - *PXQ*

  - *Partial Allocation*
  - *Target Matching*
  - *Calculated Target Matching (through "fixed %")*
  - *Calculated Target Matching (through "calculated %" as a ratio)*
- how the data and the driver are determined when processed (**Period length**). The possible values are:
  - *Cumulated* (default value). In this case, the amount to allocate / adjust / target depends on the previous months (for example, the amount of March is the sum of the amounts of January, February and March)
  - *Periodic*. In this case, the amount to allocate / adjust / target depends only on the run period and on the execution plan it is necessary to define the period length to be used. For further details see the paragraph related to the **periodic allocations**
  - *Fast*. This is a particular cumulated type used only in the closing processes. The target amount related to a specific month is the sum of the cumulated value of the previous month and the periodic value of that month. This option can be used, for example, to calculate the amount of March as the sum of the ACTUAL cumulated amount of February and the FORECAST periodic amount of March
- **Carry forward**. Specifies if the journal generated by the rule must be carried forward on the next scenario or not. Possible values:
  - *Yes*
  - *No* (default value)
- the nature of the accounts on which to filter the data to be run (**Account filters (by nature)**). The filter can be applied to the following accounts:
  - P&L
  - BS
  - Guar. and Comm.
  - other variations
  - other stocks
- **Create BS CTP** specifies how to generate the BS CTP journals. Possible values:
  - *No* (default value) The system does not generate any CTP
  - *On Detailed entries* . In this case the BS counterparties are generated from the detailed entries table and for each generated entry (write off or allocation) the system generates the related BS Ctp inside such table
  - *On Aggregated entries*. The system generates inside the journal one single Ctp row relate to all entries

The example below explains the cases described above.

Example. Let us assume that the system has generated the following rows in the Entries Details table:

ACCOUNT X + 100

ACCOUNT X - 20

and that BS CTP defined in the elements table for the ACCOUNT X is the debit ACCOUNT Y and the credit ACCOUNT Z.

If this is done on the DETAILED ENTRIES, the system created the following rows in the Entries details table:

ACCOUNT Y - 100

ACCOUNT Z + 20

If this is done on the AGGREGATED ENTRIES, the system creates the following row inside the entity journal:

ACCOUNT Y - 80


The account the system uses to generate the BS counterparties corresponds to the accrual account specified in the elements table for the account for which the counterparty has to be generated. The "Debit accrual account" will be used if the amount of the account for which the counterparty is being created is positive, the "Credit accrual account" will be used if the amount of the account is negative

- **Categories** to which the entity journal generated by the execution of the rule is allocated. By creating a different generation category for each rule, upon reporting it is possible to identify the contribution of each rule to the adjusted data. Namely, it is possible to determine which are the journals generated by each rule just by filtering the generation category. This allows you to get full traceability of data but, on the other hand, there is the risk of generating too many journals. If manageable, it must be a category of "Entity journals" type. The compulsoriness and the management of this field depend on the definition of the routine:
  - If the categories have been defined by routine, then this field won't be visible and this information will be managed by the Categories window menu.
  - If the categories have been defined by rule and the possibility to write on the source category has not been enabled in the configuration, then this field will be visible and mandatory.
  - If the categories have been defined by rule and the possibility to write on the source category has been enabled in the configuration, then this field will be visible but not mandatory.

- **Full Traceability** the possibility to store or not the entire history of the adjustment entries generated by the rule. This option is visible only if the rule includes a type of data processing that belongs to the allocations family.

- The **Driver scenario** for rules of Allocation type, or **Target scenario** for rules of Target Matching type, specifies how the scenarios to run, to fill or to use as a driver are managed. For the rules of Calculated Target Matching (through "calculated %" as a ratio) type, the field becomes **Scenario for "ratio %" calculation**. Possible values:
  - *In the execution plan* (default). In this case, the allocation driver scenario or the target scenario is not specified on the rule but on the execution plan
  - *Equal to data to run*. In this case, the allocation driver scenario or the target scenario is the data processing scenario on the execution plan
  - *Fixed*. It is necessary to specify the scenario for the target scenario/ allocation driver scenario
  - *Parametric*. It is necessary to specify the scenario for the navigable target scenario / allocation driver scenario.

- **Circular Allocations** This option allows you to run several cycles of rules when they affect each other in cascade, resulting in a loop; therefore, the data to allocate on the first rule does not empty after the first execution, because it might be undergo the allocation process from the second rule. When this option is enabled, the data processing runs several iterative cycles of a range of rules to run in sequence. This option is visible only after creating two or more rules in cascade.

  Consider the following situation:

  In rule 1 the cost centre A allocates on the cost centres B and C, and on rule 2, in cascade, the cost centre B allocates what rule 1 received on the cost centres D and A.

  In this case, the cost centre A does not empty after the first allocation cycle. Therefore, it is necessary to set up several iterations with the definition of a maximum value the data to allocate on the cost centre A will get at the end of the iterations and a maximum number of iterations that will be run.

  The data processing runs the rules until the data to allocate on the first rule of the circular allocation is equal to the threshold or until it reaches the maximum number of iterations defined.

  The rules on which it is possible to run the iterations must derive from the source rule and must not have parallel rules.

  A rule cannot belong to several circular allocation cycles.

  The definition of the circulation allocation must be done in the reference rule of the cycle and includes the following field:

  Enable Circular Allocations : enables the circular allocations on the source rule

  Iterate through Rule : defines the loop end rule.

  Code of loop end rule.

It must:

- be of *Allocation* or *Accounts allocation* type, *Reclassification* or *Partial allocation* type
- come from the source rule
- have no parallel rules
- not belong to other circular allocations

- **Threshold** Value that determines the number of iterations to run; it must be greater than or equal to zero.

  The allocation ends when the value to allocate (defined on the rule) is lower than or equal to the set up threshold

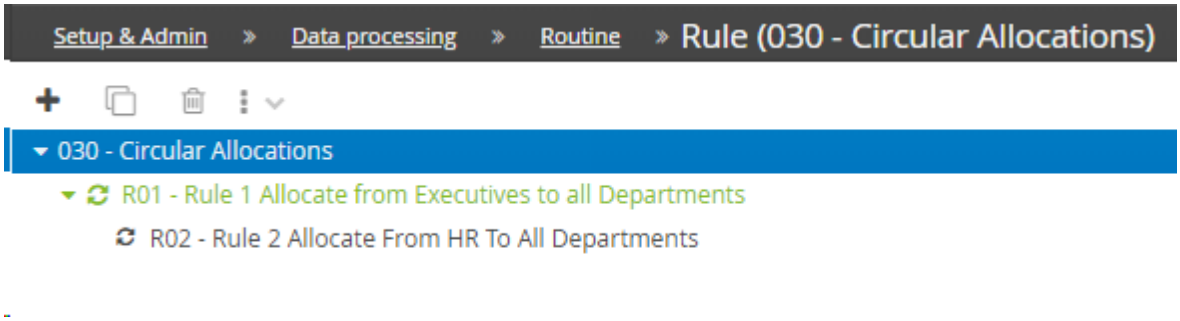
  The threshold is expressed in the entity's reference currency

- Maximum # of Iterations

  Maximum number of iterations that is run if the value to allocate is not lower than or equal to the set up threshold.

  Once enabled, the circular allocation will be visible in the rules tree.

The reference rule is displayed in green and the symbol of the loop is visible on each rule of the tree involved in the circular allocation.



For the circular allocations to work properly, it is necessary to define the categories to run (source categories) also on the first rule of the loop. Indeed, in order for the source rule to read the data processed by the next rule, from the second iteration, the output category of the second rule must be included among the categories to run.

The circular allocations can generate a high number of rows on the database, therefore they must include in the details only the specific rows for which the loop will be run.

They must be used only when really useful, otherwise they could slow down the system.

If the rule manages the **Category**, then the user can double click on the link and specify in the left column (Attributes):

- an **Input** category to filter the data to run.

  It is possible to use a category of Amount or Entity Journal type or a node of the categories grouping.

- the **Driver category** , namely the category on which the driver of the data to run is filtered

  It is possible to use a category of Amount or Entity journal type or a node of the categories grouping.

- **Output category** category to which the entity journal generated by the execution of the rule is allocated

  It is possible to use a category of Entity journal type.

Utility

Copy

The rule with all its details can be defined manually or by copying it from an existing rule and then applying the needed modifications. This copy utility can be accessed from the *Actions (*) > *Copy rules from* menu and allows copying a rule to another.

Before performing the copy it is necessary to select the target rule. Before running the copy, the system deletes any definition made for the target rule.

Details

In order to complete the parametrization of a Routine it is necessary to define the details for each of its rules, namely to define which data have to be processed and how.

Select the rule > actions ( ) > Detail

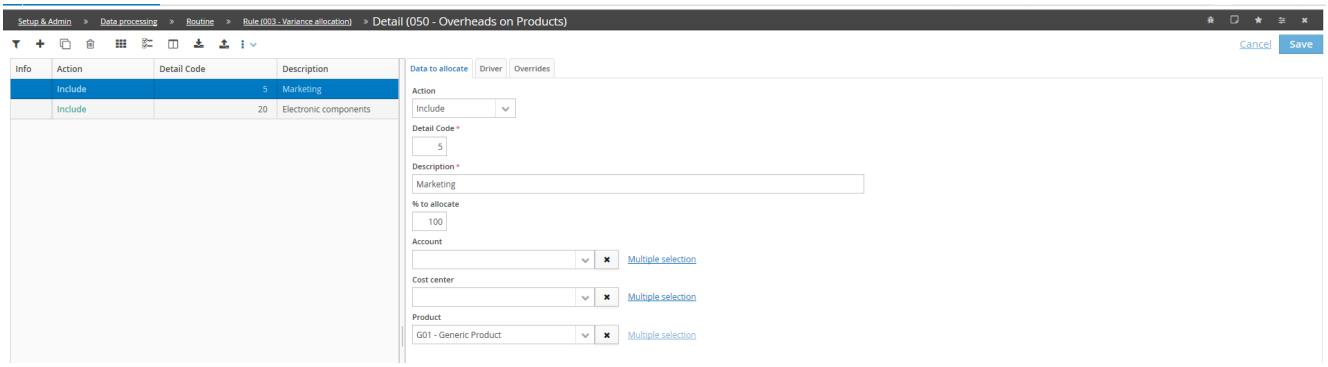
The details required by the system vary according to the data processing type of the rule, specifically:

- for the data processing belonging to the **allocations family** (with the exception of the "Reclassification") it is necessary to specify which data have to be processed (for the Transfer Price data processing type they represent the price), the drivers to use for the data allocation (for the Transfer Price data processing type they represent the quantity) and the possible overrides to be applied to the generated journals (for the Transfer Price data processing type they are mandatory since they define the elements on which the result of the data processing will be "written")
- for the **Reclassification** data processing typeit is necessary to specify which data have to be processed and the possible overrides to be applied to the generated journals
- for the data processing belonging to the family of the **target matching** it is necessary to specify which data have to be adjusted, which ones have to be targeted and the possible overrides to be applied to the generated journals.

Allocations family (except "Reclassification")

Each data processing belonging to the family of the allocations, with the exception of the Reclassification, requires the following information:

(1) - **Data to process** (or **Price** for the Transfer Price data processing type).



The user must specify:

- The **Action**: specifies whether the detail must be included or not in the data processing.

The default value is *Include*

Exclude excludes a portion of data to allocate (determined by the previous details).

- The **detail code** the unique identifier of the detail.

  The details are run simultaneously. If several details share the same *n*-tuple of data, the data processing used for that *n*-tuple is the one related to the sequence with the highest identifier

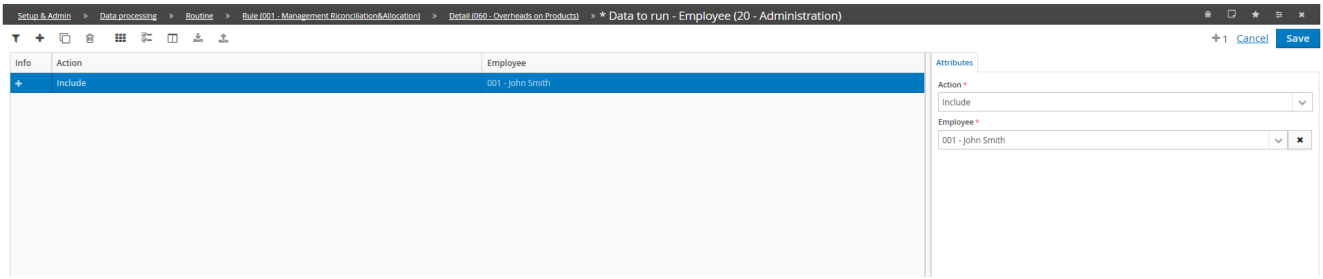
- the **Description** of the detail
- the **% to allocate**, namely the coefficient to apply to the amount to be allocated both for the allocation entry and for the write off entry. The default value is 100: in this case the whole amount present on data which have to be processed will be allocated; in order to allocate only a part of it, it is necessary to specify a different percentage.
- the **Account** on which to filter the data which have to be processed. It is possible to specify one single account, or the node of a hierarchy defined on the accounts dimension . The definition by node is used when several accounts have to be processed in the same way and with the same allocation driver. At the data processing stage the system will deploy this node and will consider, one by one, all the accounts that belong to this node obtaining the same effect we would have by specifying N details for each account

  When several elements have to be specified (lowest level elements and/or nodes), it is necessary to use the dedicated management window accessible by clicking on the *Multiple selection* link next to the field

  Once the list of accounts has been defined, the blue link (empty dimension list) turns into grey (the accounts list has been defined).

- the elements of the dimensions managed in the routine (**Entity, Custom Dimension 1...5**). For each managed dimension it is possible to specify one single element, or the node of a hierarchy defined on the dimension.

  When several elements have to be specified (lowest level elements and/or nodes), it is necessary to use the dedicated management window accessible by clicking on the *Multiple selection* link next to the field, and then selecting the section related to the dimension that is being defined.



Once the list of elements has been defined, the blue link (empty dimension list) turns into grey (the dimension list has been defined).

(2) - **Allocation driver** (or **Quantity** for the Transfer Price data processing type).

The user must specify:

- the **sign** of the driver. This information is useful to filter the rows on which to run the allocation according to the sign of the amounts. In particular, if the sign of the driver is:
  - *All* the system runs the allocation on all the rows available for the specified driver
  - *>0* the system allocates only the records of the driver with amount > 0
  - *<0* the system allocates only the records of the driver with amount < 0

- the account on which to filter the allocation driver (**Driver**). The user can specify one single account, or the node of a hierarchy defined on the accounts dimension.

  If the data processing type is "Account allocation" or if it is necessary to specify several elements (lowest level elements and/or nodes), it is necessary to use the dedicated management window, accessible by clicking on the *Multiple selection* link next to the field.

   Once the list of elements has been defined, the green indicator signalling the presence of defined elements shows up next to the link.

- **Filter based on the data to allocate** The system allows you to partialize the specified driver according to the data to allocate. Possible values:
  - *X None* the system does not apply any partialization to the driver (default value)
  - *Filter on lowest level element* the system allocates the data to process with a filtered driver on the same account on which data is.
  - *Account hierarchy code* the system allocates the data to run with a driver filtered on all the elements related to the same node to which the element on which the data is moved is related

    By default the system does not apply any partialization to the driver to be used

- **Allocate on** specifies if the system allocates or not on the specified dimensions (**Entity, Custom dimesion 1...5**)
- **Filter**: specifies the dimensions for the partialization of the targets' domain. For each managed dimension it is possible to specify one single element , or the node of a hierarchy defined on the dimension. If the targets' domain is partialized, the system, during the data processing phase, will consider only the elements adjusted on the driver and belonging to the defined domain.
- **Other filters based on data to allocate** specifies, for each managed dimension, how to partialize the specified driver according to the data to allocate. Possible values:
  - *X None* the system does not apply any partialization to the driver (default)
  - *00 Filter on lowest level element* the system allocates the data to process with a driver filtered on the same dimension on which the data is.
  - *Dimension hierarchy code* the system allocates the data to run with a driver filtered on all the elements related to the same node to which the element on which the data is moved is related

  When several elements have to be specified (lowest level elements and/or nodes), it is necessary to use the dedicated management window accessible by clicking on the *Multiple selection* link next to the field of the dimension that is being defined.

   Once the list of elements has been defined, the blue link (empty driver list) turns into greay (the driver list has been defined).

EXAMPLES

Example 1: assume the following allocation case:

Data to process:

Account	Cost center	Product	Amount
PL00001	C01	P01	10
PL00001	C05	P02	20

Driver:

Account	Cost center	Product	Amount
DRV1	C01	P01	1
DRV1	C01	P02	2
DRV1	C02	P02	3
DRV1	C03	P02	4
DRV1	C04	P02	5
		Totale	**15**

Assuming that we allocate on both managed custom dimensions, we can see how the calculation performed by the system changes as the "Filter" option changes for the *Cost centre*custom dimension:

- *X - None*: in this case each row of data to process uses each row of the driver for the allocation

Resulting journal entries:

Account	Cost center	Product	Amount
PL00001	C01	P01	(10+20)*1/15 = 2
PL00001	C01	P02	(10+20)*2/15 = 4
PL00001	C02	P02	(10+20)*3/15 = 6
PL00001	C03	P02	(10+20)*4/15 = 8
PL00001	C04	P02	(10+20)*5/15 = 10

- *00 - By element*: in this case each row of data to process uses the rows of the driver defined on the same Cost Centre

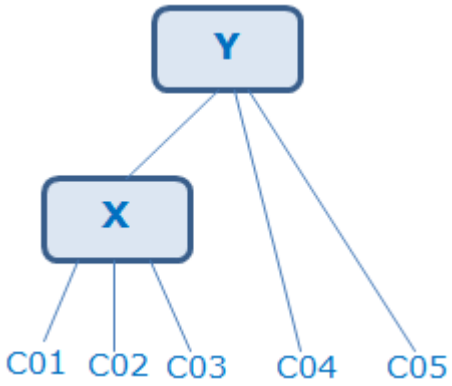
Resulting journal entries:

Account	Cost center	Product	Amount
PL00001	C01	P01	10*1/3 = 3.33
PL00001	C01	P02	10*2/3 = 6.66



  - the second row of data to process has not been allocated because the driver has no rows on C05
  - the rows of the driver defined on cost centres other than C01 have not been used.

- *00 - By hierarchy node*: Assuming that the structure of the hierarchy 00 is the following



we have:

Resulting journal entries:

Account	Cost center	Product	Amount
PL00001	C01	P01	10*1/10 = 1
PL00001	C01	P02	10*2/10 = 2
PL00001	C02	P02	10*3/10 = 3
PL00001	C03	P02	10*4/10 = 4
PL00001	C04	P02	20*5/5 = 20



- the first row of data to process is allocated using the rows of the driver defined on the cost centres C01, C02 and C03 that share the same parent node ("X") of the hierarchy 00
- the second row of data to process is allocated using the rows of the driver defined on the cost centre C04 and 05 that share the same parent node ("Y") of the hierarchy 00

(3) - **Overrides** (mandatory only for the Transfer Price data processing type). It must be defined when the system has to generate the allocation entry by using different identification attributes as compared to data to process.

In the left sideof the window it is possible to specify the information that must be used to generate the WRITE OFF entries. Specifically:

- the **Charge back account** (mandatory for the Transfer Price data processing type)
- the dimensions (**Entity, Custom dimensions 1...5**) managed in the routine

In the right side of the window it is possible to specify the information that must be used to generate the ALLOCATION entries. Specifically:

- the **Allocated account** (mandatory for the Transfer Price data processing type)
- the dimensions (**Entity, Custom dimensions 1...5**) managed in the routine

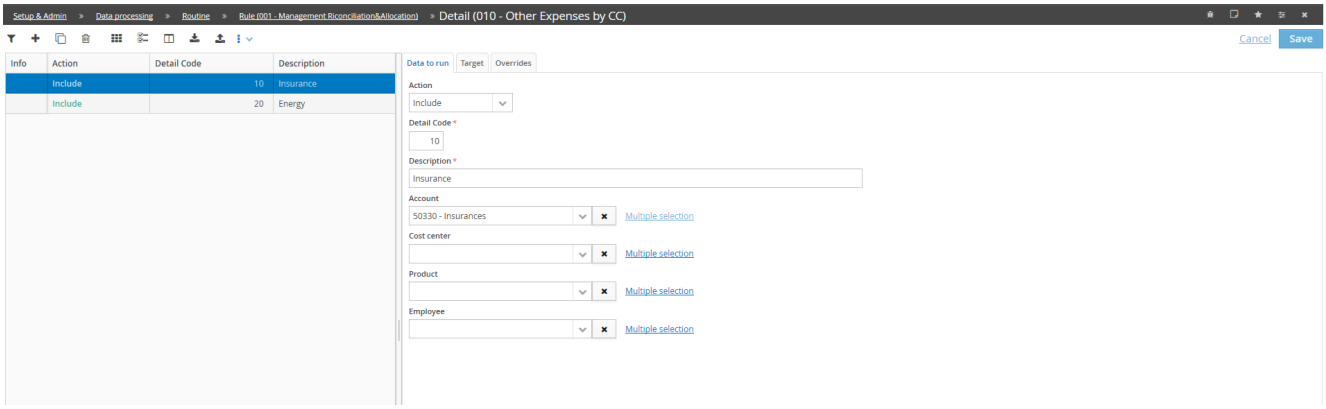
"Reclassification" data processing type

The reclassification data processing type, unlike the other data processing types belonging to the allocations family, does not provide for the driver definition since data to process is completely allocated.

But it is necessary to define the information the system uses to:

- identify data to process. Such information, as well as for the other allocation data processing types, is contained in the Data to process tab.
- identify the dimensions (at least one) on which to reclassify data to process. Such information is contained in the Overrides tab

Target matching family



Each data processing belonging to the target matching family requires the following information:

(1) - **Data to adjust**

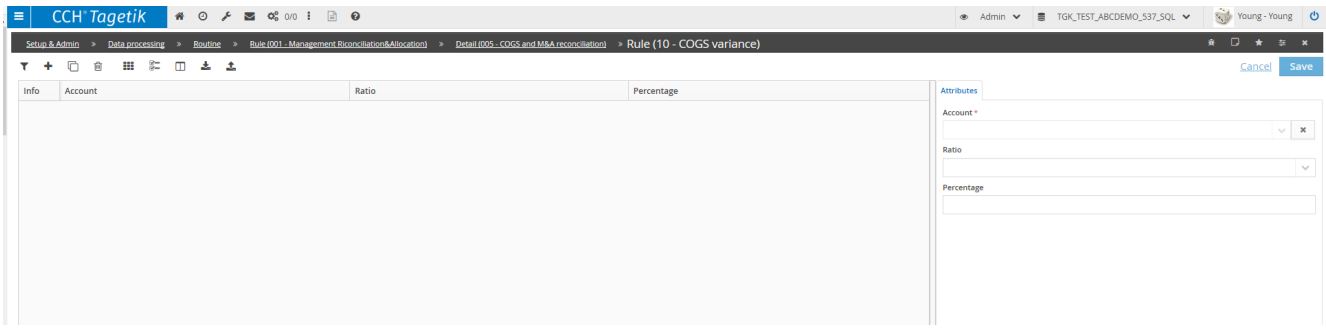
Unlike the data processing of the allocations family where we have data to process, in the data processing of the target matching family we have data to adjust, but actually the required information is nearly the same, with the exception of the "Mark-up". Indeed in the target matching the amount to allocate is always 100, so such option does not exist.

(2) - **Target**

The user must specify:

- how the system must behave if the target is zero. When the **If missing set 0** option is enabled, the system generates an entry with amounts equal to zero; otherwise it does not generate any entry
- if all the values must be considered when defining the target or if a filter must be defined according to the amount sign. When the **Driver sign** information is defined, the system considers All the values or only the value >0 or those <0
- in the case of "Calculated Target Matching (through "fixed %")" and "Calculated Target Matching (through "calculated %" as a ratio)" data processing type, since the target amount is calculated as the percentage of the value of one or more reference accounts, the user must specify also the criteria to use to define the target amount (**Criteria definition**).

These criteria are defined in a dedicated management window accessible by clicking on the relevant link



In order to define a criteria it is necessary to specify the reference **account** or the **node** of the hierarchy on which the percentage has to be calculated and, only with the "Calculated Target Matching (through "fixed %")" data processing type, also the percentage to apply.

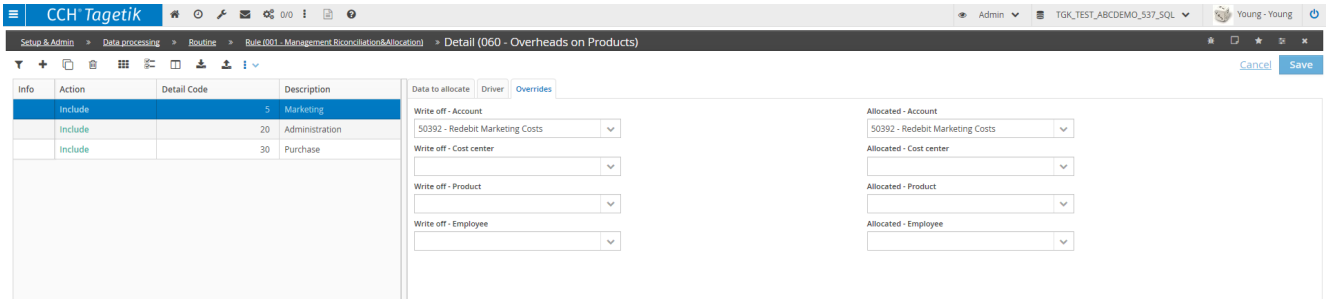
Such percentage can be:

- a **fixed value**. In this case it is necessary to define the **Percentage** field. The system will calculate the target amount as the fixed percentage of the value (read from the scenario to process) of the specified account. For example, if the value of the Royalties in the actual version must be 10%, then it is necessary to insert into the rule rows the account/s related to the revenues relating to each one the fixed percentage 10%
- **calculated automatically by the system**. In this case it is necessary to define the **Ratio** field with the account to be used for the percentage calculation. The system calculates the percentage as the ratio of the value of the account specified on the reference accounts value. For example, if the value of the Royalties in the actual version must be a percentage on the revenues equal to the ratio of the royalties in relation to the revenues in a reference scenario, then it is necessary to insert into the rows of the rules the accounts/s related to the revenues without specifying the percentages

- in the case of "Calculated Target Matching (through "calculated %" as a ratio)" data processing type, it is possible to partialize the target according to the custom dimension on which data to adjust is. If the **Sum up by custom dimension 1...5** information is
  - **Filter - By element**, then the target is filtered on the element of the custom dimension on which data to adjust is
  - **Filter - Dimension Hierarchy code**, then the target is filtered on all the elements related to the node which is related to the elements on which data to adjust is

  By default the system does not apply any filter to the target data

(3) - **Overrides**. This has to be set up if the system must generate the target scenario matching entry using some identification attributes different from data to adjust.



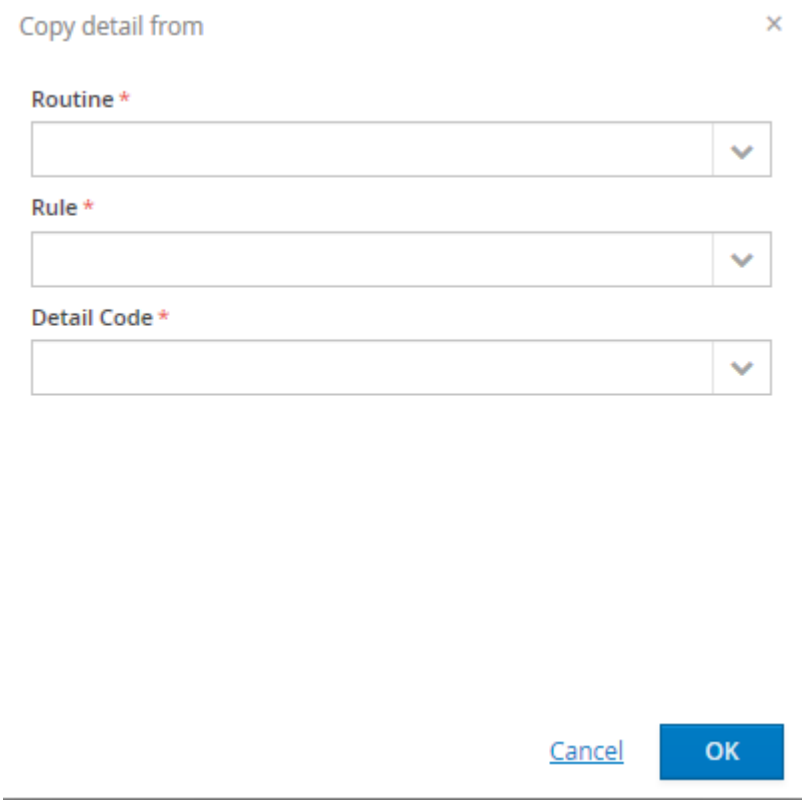
The user must specify:

- the **Account** on which the Target scenario matching entry has to be written
- the dimensions managed in the routine (**Entity, Custom dimension 1...5**) on which the Target scenario matching entry has to be written

Utility

Copy

The detail of a rule can be defined manually or it is possible to copy it from an existing detail and then apply the needed modifications. This copy utility can be accessed from the *Actions* (⋮) > *Copy detail from* window menu and allows copying a detail to another. Before running the copy, it is necessary to select the target detail.



The user must specify:

- the **routine** to which the rule in which the detail to copy has been defined belongs
- the **rule** in which the detail to copy has been defined
- the **sequence**, namely the unique ID of the detail to copy

Before performing the copy, the system deletes the parametrization of the target detail.

Job

The job allows the users to run several routines in a single run. A job consists of a set of routines which are run all together and their sequence is the logical flow of their execution.

The job allows organizing a group of routines in order that a generic routine reads the values generated by the previous ones.

 Only one job or one routine can be related to each entity / scenario / period, therefore it is possible to related several routines to one entity by using a job.

The jobs table can be accessed from the administrator user web interface by following the path *SetUp & Admin > Data processing tile> Allocations & Closing > Job Navigation panel> Data processing > Allocations & Closing > Job*

Each Job is identified by a **code** and a **description**.

Once the user has defined the job's header, it is necessary to specify, by double-clicking on the job (or from Actions > Define Job), the routines that compose it and assign an execution sequence to each one.

Assume that we allocate the sequence 10 to the routines 10 and 20; when running the job, the system: first processes data according to the rules defined for the routine 001 then, according to the rules defined for the routine 002, it processes data including the entries generated by the previous data processing step.

 Different routines belonging to the same job Routine and having the same sequence are run simultaneously.

After defining the job, it is necessary to configure its relationship with data to which it has to be applied. To do that, it is necessary to define an **execution plan**. Each execution plan, for each scenario / period / entity, includes the following information:

- the routine / job to run and their execution order
- the various scenarios for filtering data which have to be processed if the user wants to set such information at plan level (with the possibility of using different scenarios for different sets of scenario / period / entity) rather than on each single routine

The execution plan is defined by process, therefore different processes can have different execution plans.

The management of the execution plan can be accessed from the administrator user web interface:

- by following the path *Setup & Admin > Data processing tile > Allocations & Closing > Execution Plan Navigation panel> Data processing > Allocations & Closing > Execution Plan*
- or straight from a **process** rules definition window

Utility

Structure Report

The system allows you to extract and display through an Excel report the structure of a Job (rules and details). Such report can be accessed from the admin user web interface by following the path *SetUp & Admin > Data processing tile > Allocation & Closing > Job > Report( ) > Structure Report Navigation panel> Data processing > Allocations & Closing > > Job > Report( ) > Structure Report* and displays all the attributes defined for the routine and for its details in a tree structure (rules and details).

The user must specify the **job** to display.

The tree drawn in the report can be displayed in full detail or compressed (by clicking the relevant buttons – and +).

Execution plan

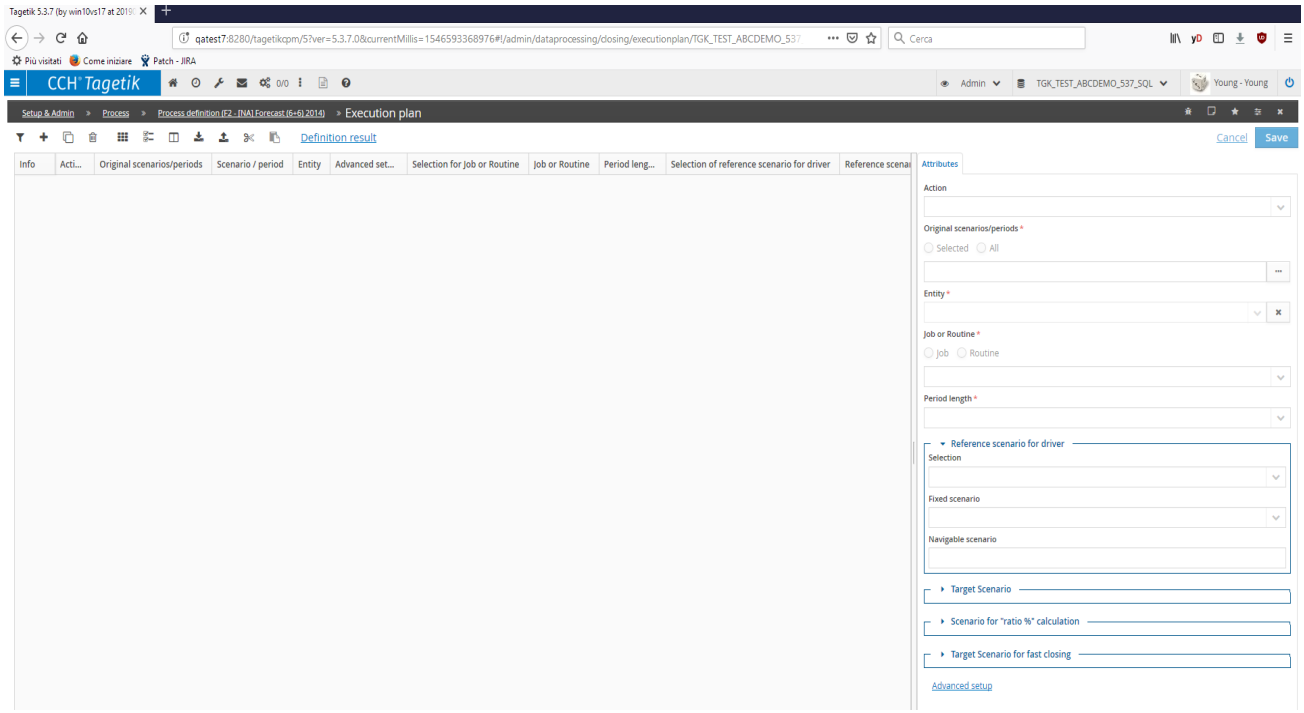
After defining the structure of the allocations and closing rules (routine, rules, details), it is necessary to configure its relationship with data to which it has to be applied. To do this, it is necessary to define an **execution plan**. Each execution plan includes, for each scenario / period / entity, the following information:

- the routine / job to run and their execution order
- the period length
- the various scenarios for filtering data which to process if the user wants to set such information at plan level (with the possibility of using different scenarios for different sets of scenario / period / entity) rather than on each single routine

The execution plan has to be defined by process, so different processes can have different execution plans.

The management of the execution plan can be accessed from the administrator user web interface by following the path *Setup & Admin > Process > select process > actions (⋮) > Process definition> Data Processing are > Allocation and Closing > Execution plan*. *Navbar > Processes & Workflow > Process > select process > actions (⋮) > Process definition> Data Processing are > Allocation and Closing > Execution plan*.

Add one row in the right hand area and configure it from the left tab **attributes** :



- **Action** to run. Possible values:
  - Include
  - Exclude
- **Original Scenarios /periods**
  - *Selected*. In the next row, it is possible to select the selected scenario or scenarios
  - *All*
- **Entity** entity or entities node
- **Period length** to use with periodic rules

  the scenarios to use to filter the data to process if on the rule the user has specified that such information is given at plan level. In particular

  - **Reference scenario for driver**. Scenario used to recover the values of the driver for the allocation
  - **Target Scenario** . For the "Target Matching" rules. Target scenario for target data
  - **Scenario for "ratio %" calculation**.For the "Calculated Target Matching (through "calculated %" as a ratio)" rules. Target scenario for target data

- **Target Scenario for fast closing**. Only for the "Target Matching" rules with fast closing. It is the previous actual scenario that must be added to the monthly target data to obtain the cumulated target data

they have two fields:

Selection Specifies how the scenarios to run, fill or use are managed. Possible values:

- *Fixed* in this case, it is necessary to specify the scenario for the allocation driver
- *Parametric* in this case, it is necessary to specify the scenario for the navigable allocation driver

Fixed Scenario / **Navigable Scenario**

the **Navigable Scenario** can get the following values

- PREV the scenario is the one preceding the processed scenario
- NEXT the scenario is the one following the processed scenario
- REF1...REF5 the scenario is the reference scenario 1 ... 5 related to the processed one

 If you select a node of an entities hierarchy and you want to use a different tax for a given entity, you have to add that specific entity in this window (besides the node) with the relevant setting.

- **Definition result**.

After completing and saving (

) the execution plan definition, it is possible to access the deployed table through the Definition Result link.

Advanced setup

By default, if the job has been used to define the execution plan, the defined settings are valid for each routine included in it. Nevertheless, it is possible to define a different setting for each routine of the job. Such advanced setup can be accessed by double-clicking on the**Advanced setup** link on the bottom right of the **Attributes** tab.

The parameters to manage are the same as those described for the definition of the execution plan.

If the user uses an advanced setup for the single routines of a job, the system, after saving the settings, enables the "Advanced setup" option on the execution plan. This allows recognizing the elements of the execution plan for which the attributes definition is advanced.

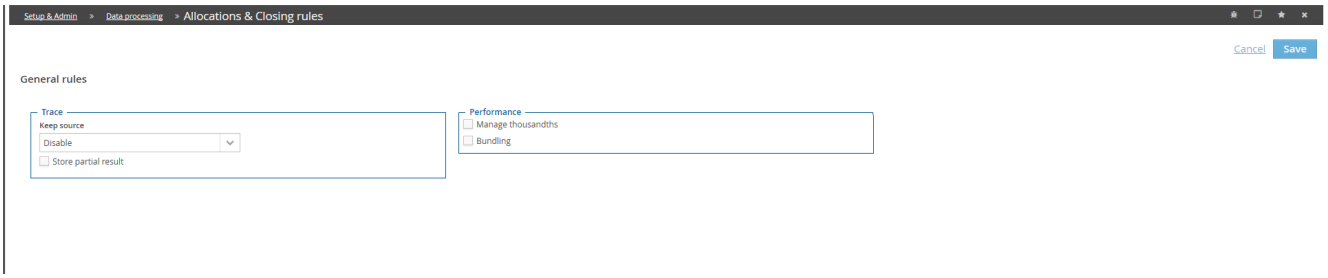
Advanced rules

The advanced rules define the "basic elements" the system needs to:

- optimize the "Allocation & Closing" data processing. Indeed this data processing can generate a very variable number of rows; the flexibility in the parametrization, in terms of dimensions to allocate and on which to allocate, may require the management of millions of records by Period
- manage the generation of the entries, according to the user's needs

The management of such rules can be accessed from the administrator user web interface by following the path *.Setup & Admin > Date processing > Allocations & Closing > Advanced rules*

Navigation panel> Date processing > Allocations & Closing > Advanced rules



The available options are:

- **Trace**. Specifies the detail to be traced in the journals generated by the system. Possible values:
  - *Disable.* The system does not keep track of the various steps performed to generate data
  - *Last source.* The system traces and displays only the last performed step. For example, if the rule 001 provides that the cost centre C01 is allocated on the cost centres C02 and C03 and that C02 is allocated on the cost centre C04. The system displays, for allocated data C04, the last data by which it has been generated, namely C02
  - *Detail.* The system traces and displays all the steps performed to generate data. In this case, the concatenation of the last sources is shown for the allocated data.
  - *From rule.* It shows all the allocation steps which have generated the result, except the rules not included in the execution.

  The last two options are highly inadvisable since they generate a high number of entries which slow down the data processing. Moreover, in some cases the trace would be so long that it could not be contained in the field.
- **Store partial results**. When this option is enabled, it indicates that the history of the data processing must be stored with the detail of the involved elements, namely the collections of data to allocate, target, the drivers, etc. Then those details will be displayed in the Intermediate results report (currently not available from HTML5 interface)
- **Manage thousandths.** When this option is enabled, it means that the system must generate the allocations even with very small amounts (thousands) that, otherwise, would be excluded from the calculation. Consider that 3 decimals at most are brought in the journals; therefore, even if this option is enabled, the resulting amounts in thousands would not be excluded, but would be considered in the data to allocate. The activation of this option might heavily affect the performance, therefore its activation is not recommended.
- **Bundling.** When this option is enabled, if the routine is run on a whole scenario, the system runs it only once instead of as many times as there are scenario's periods.

Process parametrization for the "Allocation & Closing"

The Process is the basic component of the Tagetik implementations since it manages all the data entry and automatic data processing activities.

A **Process** can be defined as a set of activities or tasks (workflow model) with a start date and an end date and which:

- includes an approval workflow of inserted data (organization hierarchy);
- can have a logical and functional workflow of the activities to be performed (Task FlowChart: for example, data loading, data processing run, adjustments entry, submission...);
- operates on the whole data model or on a subset of it (process data model).

The allocation process can be defined as a "sub-process" used in the consolidation or financial planning processes in order to allocate, as correctly as possible, the costs and/or revenues on specific business units, services or activities which directly or indirectly generated them.

For further details about the process parametrization, consult the "*Process*" chapter of the user manual.

For the purposes of the allocation process, it is important to remember that in order to enable the allocation and closing data processing on any process the user has to:

- enable the **Enable Allocation and Closing** option in the Data Processing area of the process detail definition window;
- save.

Once the allocation and closing data processing has been enabled, the following information can be managed:

- **Execution plan**. From this it is possible to manage the **execution plan**
- **Advanced rules**. The system uses as **advanced rule** for the current process the generic rules defined from the administrator user web interface by following the path *Setup & Admin > Data processing > Allocations & closing > Advanced rules Navigation panel> Data processing > Allocations & closing > Advanced rules*. Here it is possible to override some settings of the generic rule (for example it is possible to specify that, when defining the rule, the user must specify a category for the current process on which the entries will be generated. Such category must not be the reading category as set in the generic rule) and make the system use the overridden rule rather that the generic one for the current process.

User Tools

Generally the allocation "rules" are defined by the system administrator and, according to the specifications of the rule, they apply to a specific entity or to all the entities of the group. The rules can be customized by each user, according to the degree of "freedom" allowed by the administrator.

Two types of system setup are available:

- general setup (defined by the administrator)
- user level setup (defined by the user)

With the user level setup, according to the user rights defined by the administrator, the user can:

- customize the parametrization
- run the allocations and closing data processing which generates the double entries
- run queries via system report to verify the generated entries
- delete the content of the tables used by the allocations and closing module.

The flowchart below shows the steps to follow:

- make the necessary modifications or additions to the **Parametrization** provided by the system administrator
- run the **"Allocation and closing" data processing**
- verify data generated via the **system reports**
- **delete data** generated by the data processing, where necessary

Setup

Each user can customize the submitted routines setup, according to the degree of "freedom" allowed by the administrator.

From the user's home page, by clicking on the ***Allocation & Closing*** *>> select the desired routine* > *Actions* (⋮) > *Rules*

each user can verify and modify (Edit button on the right hand side):

- the description and setting of the **rules** given by the administrator
- the entire setting of the **details** (select rule > *Actions*(⋮) > *Details*)

This is a very important phase as it allows the user to customize the routines defined by the administrator and create a personal "ad hoc" set of rules.



After applying the needed modifications, the user can display and extract the **structure** of the new rules by getting back to the Routines window > *Report (*  *) > Structure report*.

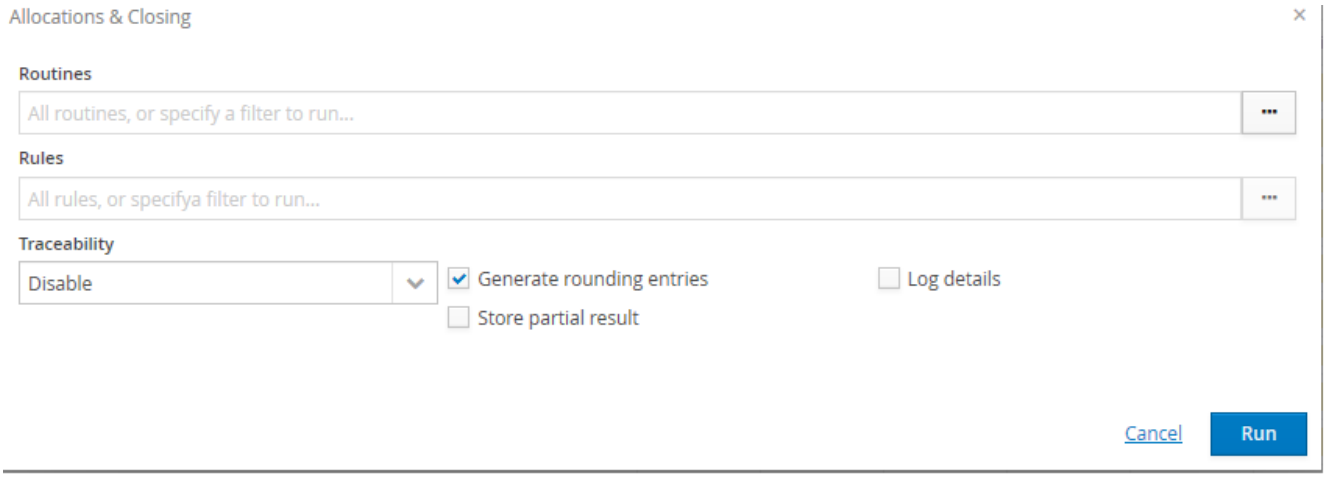
Run Data processing

Once the system has been fully configured for the allocation and closing process, and the execution plan has been defined, you can run the 'Allocation and Closing' data processing, which generates double-entry postings based on the defined parameters

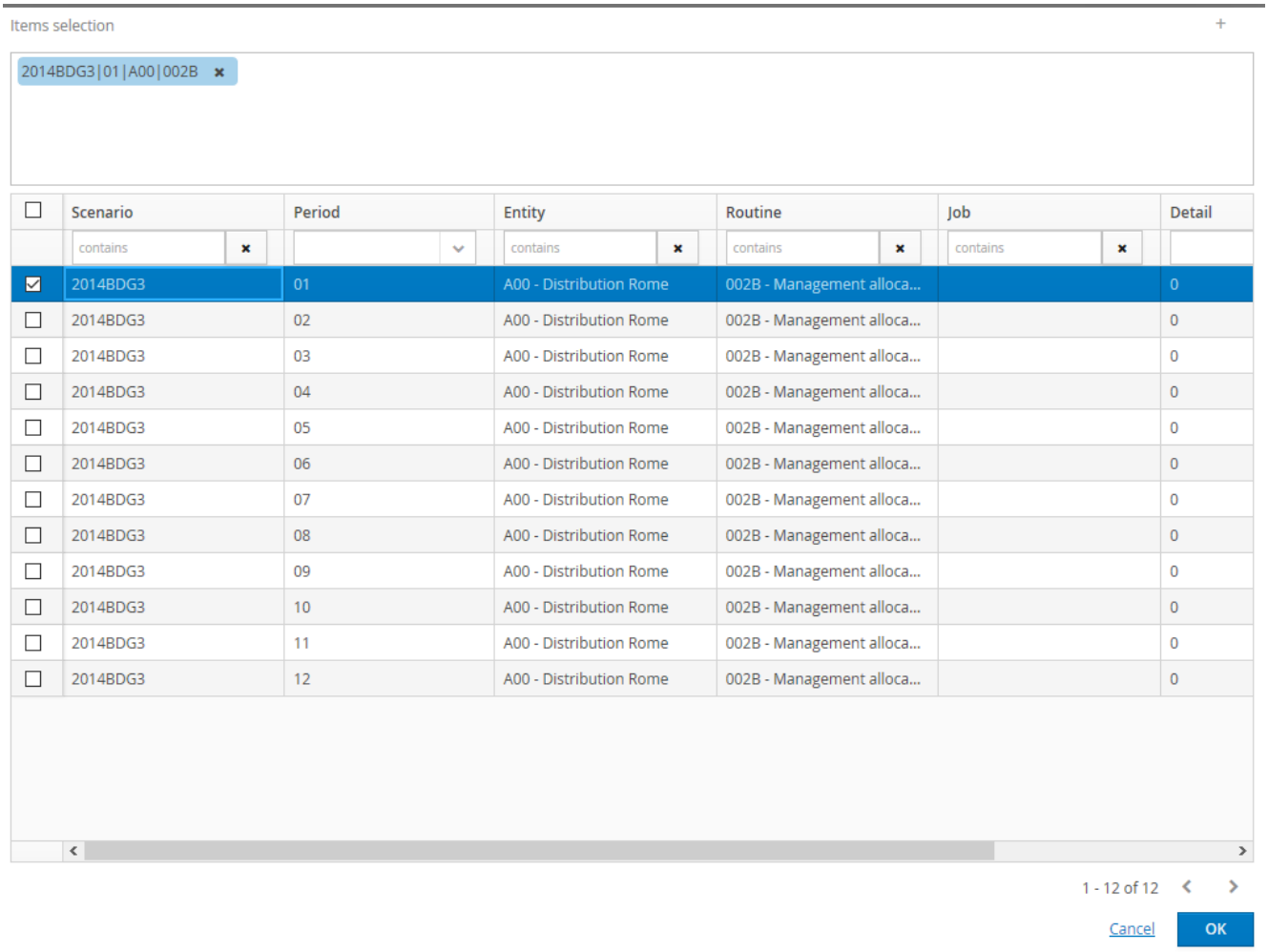
The 'Allocation and Closure' data processing can be run:

- from the contributor's **process cockpit** on the end user's web interface using the**"Allocations and Closing**" button after selecting the Entities to be processed. Or by launching the Entity data processing always from the action column on the left. Obviously, the process whose cockpit is being displayed must have this data processing enabled;
- **from a data entry form**;
- **from a Business workflow task**;
- **from a job task**.

Let us now take a detailed look at how data processing is carried out from the path *Processes Tile > select process >> double click >> select step >> select Entity > Allocation & ClosingNavigation Panel > Processes & Workflows > Process > select process >> double click >> select step>> select Entity> Allocation & Closing*. Data processing is carried out via a wizard that guides the user through a series of steps. The user must:



- select the **scenarios/periods** to be run. In the case of a 'Scenario/period' submission process, the system suggests the cockpit scenario/period; otherwise it suggests the last scenario/period used in the chosen process. If the user does not select any scenario/period, the data processing will be performed on all scenarios/periods in the process.
- select the **routine** to be run



It is possible to select the individual periods on the routine execution plan of the selected scenarios/periods

- Partial execution: if only part of the routine needs to run, define the **rules** to be applied.

At this point, the user must specify the **Traceability**: the detail to be stored in the journals generated by the system. The system suggests as the default value of the '**Traceability**' attribute the value that the field of the same name has on the advanced allocation and closing rules combined with the process. The user can modify this value according to their needs by choosing between:

- **Disable.** The system does not keep track of the various steps taken to generate the data
- **Last source.** The system only tracks and displays the last step performed. For example, if rule 001 provides that cost centre C01 is allocated to cost centres C02 and C03, and C02 in turn is allocated to cost centre C04. The system displays for the allocated data C04 the last data that generated it, i.e. C02
- **Detail.** The system keeps track of and displays all the various steps taken to generate the data. In this case, the concatenation of all the last sources is shown for the allocated data.
- **From rule.** displays all allocation steps that generated the result, except for those rules not included in the execution.


The last two options are highly discouraged as they generate a very large number of entries that would slow down the data processing itself. Moreover, the track would, in some cases, be so long that it would not fit within the designated field.

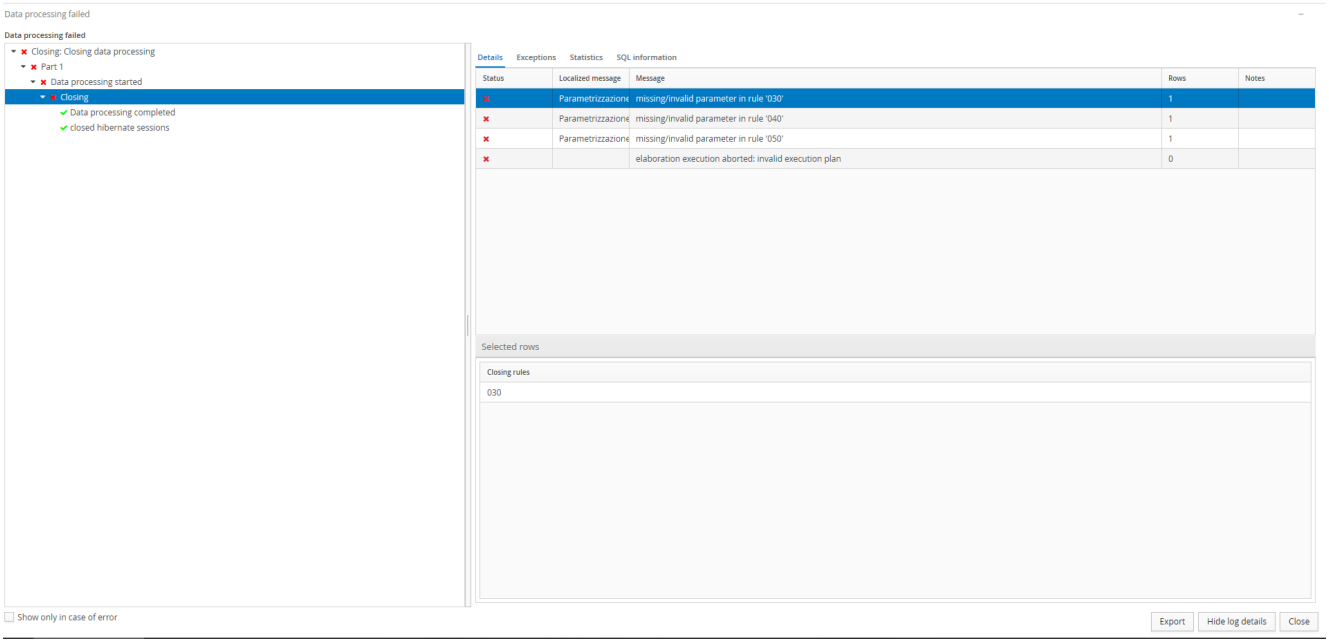
- **Generate rounding entries** If enabled, after calculating the allocated values, and if these do not fully clear the data to be processed, the system generates a balancing entry. For example, suppose you need to allocate the value of cost centre C00, equal to 100 Euros, across the three cost centres C01, C02 and C03. Assume that the value to be allocated to each is exactly one third of the value of C00, and that the euro currency is set to display three decimal places. The system calculates a value of 33.333 for each cost centre and generates a balancing entry of 0.001. If, on the other hand, rounding movements are not to be generated, the system simply calculates the allocated values regardless of whether or not they completely zero out the data to be processed.
- if you need to calculate detailed information (**Full log**) on the execution of the various steps defined for the rule to be processed. This may be useful, for example, to identify the cause of any slowness.

Now you can run the data processing.

After data processing begins, the system carries out the steps below, in the specified order:

- deploys the rows to be processed, whatever the data processing type
- deploys the drivers defined for the allocation rules
- deploys the drivers defined for the account allocation rules
- deploys the drivers defined for the Target Matching rules
- deploys the drivers defined for the Scenario Target Matching rules
- deploys the drivers defined for the Percentage Impact Target Matching rules
- generates write-off entries
- generates reclassification entries
- generates closing entries (standard allocations and on accounts, target matching)
- generates balancing entries
- removes existing entries that will be regenerated
- in case of period data processing, it carries forward the generated entries to the following period

Once data processing is complete, the system opens a window containing a detailed list of activities performed and reports any errors that occurred for each one.



There are two types of errors that may occur:

- **Non-blocking errors.** They are identified by a yellow check and do not impact data processing. This may occur, for example, when no allocation entry is generated for one of the details defined for the executed rule.
- **Blocking errors.** They are identified by a re X and prevent the user from proceeding with data processing. This may occur, for example, when the allocation and closing settings are incomplete; thus, when:
  - there is no data processing category in the rules to be processed in the case of "simplified management" of the routine to be run
  - there is no data processing category in the specific management window in the case of "advanced management" of the routine to be run
  - there is no driver accounts in the case of allocation data processing for the rules to be run
  - no scenario has been specified for the calculation

  Moreover, the system reports a blocking error if there is a complete absence of data for the scenario/period/Entity tuples to be processed.

The data processing writes all generated entries to a table called **Entry Details**, which includes all dimensions used by the closing process (i.e., the routine, rule, etc. that generated the entry itself) and can be displayed by the user through a system report Since this is a detail table used exclusively by the allocation and closing module, the generated entries are then aggregated into the table where entity journals are recorded.

 The origin of the entries generated by the data processing is PROC_CLOSING

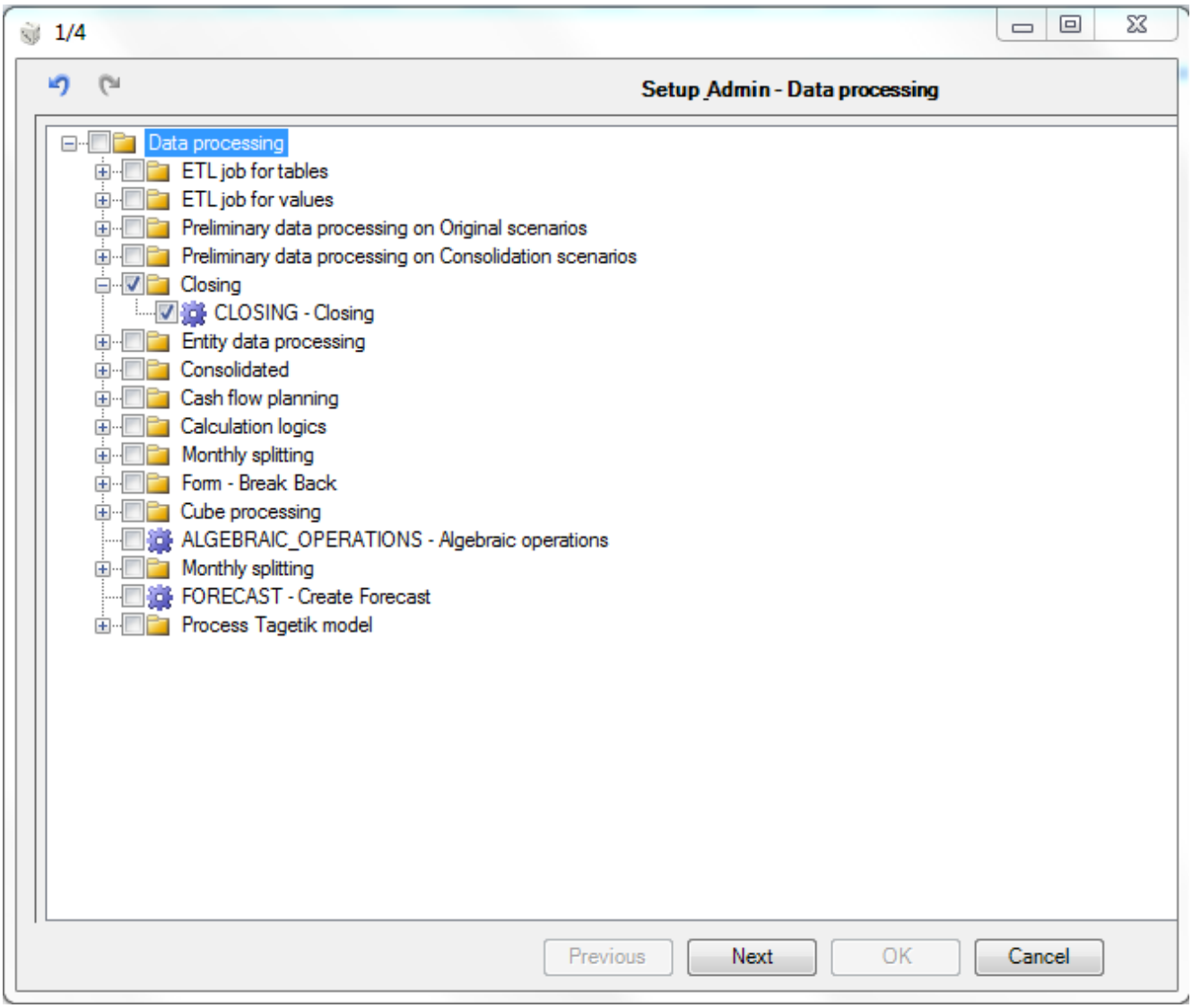
Run from form

The "Allocation & closing" data processing can be run also from a data entry form. The user has to:

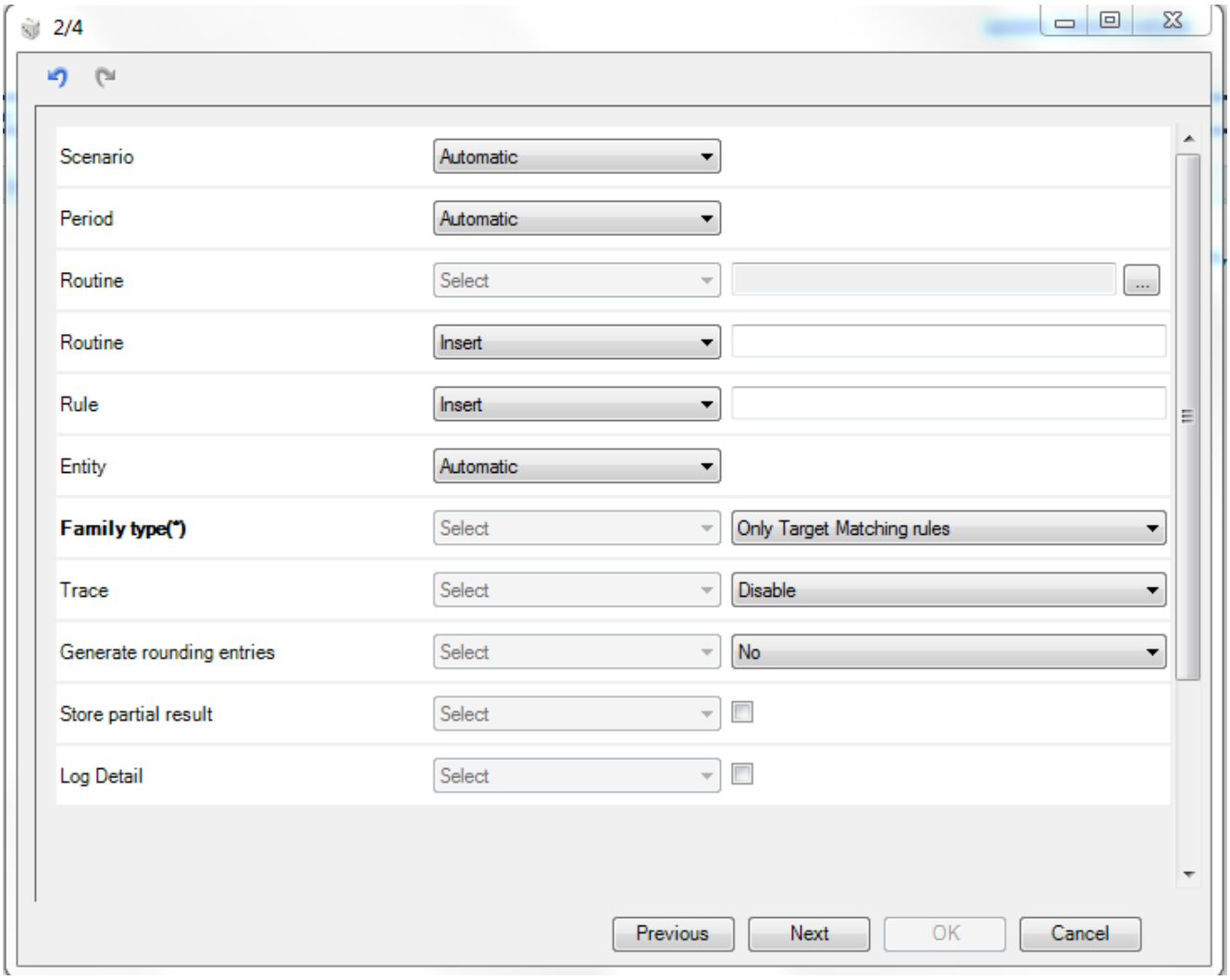
- open the form in Design mode;
- click on the  **Data processing** button of the "Design" ribbon bar or select in the "Open items" left

pane the row related to the form into which the data processing has to be inserted and then right-click and select *Run Data processing > New Data processing*.

The system displays a window in which the user must select the **Closing** check in order to run the data processing and then click on the **Next** button.



At this stage, it is necessary to define the parameters needed for the data processing. The parameters highlighted in bold are mandatory.



The parameters definition requires the **selection of the method by which the parameter's value has to be retrieved**. The available methods are:

- **Automatic**. The system retrieves the parameter's value directly from a form filter, a tab filter, a matrix filter, a row/column filter. If the filter is defined using a parameter (thus its value is chosen by the user at run-time) the retrieved value will depend on the user's choice. If a parameter is optional or not important for the current data processing, its value can be retrieved automatically
- **Excel cell**. The system retrieves the parameter's value from an Excel cell. The user must specify the cell containing the value using the syntax ${H30} (cella H30).
- **Insert**. The user must insert the parameter's value into the corresponding text box
- **Select**. The user must select the parameter's value from a list of possible values
- **Cell field**. The system retrieves the parameter's value from a cell field.

The user must specify:

- a possible filter on the original **scenario / period** on which to run the data processing
- a possible filter on the **entities** to which data to process are allocated
- a possible filter on the **routines** to run
- a possible filter in the **rules** to run
- a possible filter on the **sequences** to run
- whether or not all the defined data processing types have to be run (**Family type**). The possible values are:
  - *Only Target Matching rules*
  - *Only Allocation Rules*
  - *All*
- the detail to store in the journals generated by the system. The following Trace options are available:

- **Disable**. The system does not trace the steps performed to generate data
- **Last source**. The system traces and displays only the last step performed. For example, if the rule 001 provides that the cost center C01 is allocated on the cost centers C02 and C03 and that the C02 is allocated on the cost center C04. The system displays for the allocated data C04 the last data that generated it, namely C02
- **Detail**. The system traces and displays all the steps performed to generate data. In this case, for the allocated data the system displays the concatenation of the last sources.
- **From rule**. It allows displaying all the allocation steps which have generated the result, except the rules not included in the execution.

 Using the last two options is highly inadvisable since they generate a high number of entries that would slow down the data processing and the record layout would be so long that it could not be contained in the field.

- whether or not the **rounding entries** have to be generated. In the first case the system calculates the allocated values and, if such values do not "empty" completely data to process, it creates a balancing entry. For example, assume that we have to allocate the value of the cost center C00, equal to Euro 100, on the three cost centers C01, C02 and C03 and assume that the value to allocate to each one is one third of the value of C00 and that the estimated number of decimals for the Euro currency is 3. The system calculates for each cost center a value equal to 33,333 and generates a balancing entry equal to 0,001. If the rounding entries do not have to be generated, the system just calculates the allocated values regardless of whether or not they zero data to process.
- whether or not the history of the data processing has to be stored with the detail of each element involved, namely the collection of data to allocate, the targets, the drivers, etc. (**Store partial result**)
- whether the detail information (**Log detail**) has to be calculated in relation to the execution of the steps defined for the rules to process. For example, in case of slowness this may help understand which detail causes it.

After setting the parameters, it is possible to click on the "Next" button in order to specify some options which allow the system to understand how the data processing has to be run within the form (for further details see Setup & Admin - Data Processing window). Finally, it is necessary to assign a code and a description to the data processing to be inserted in the form.

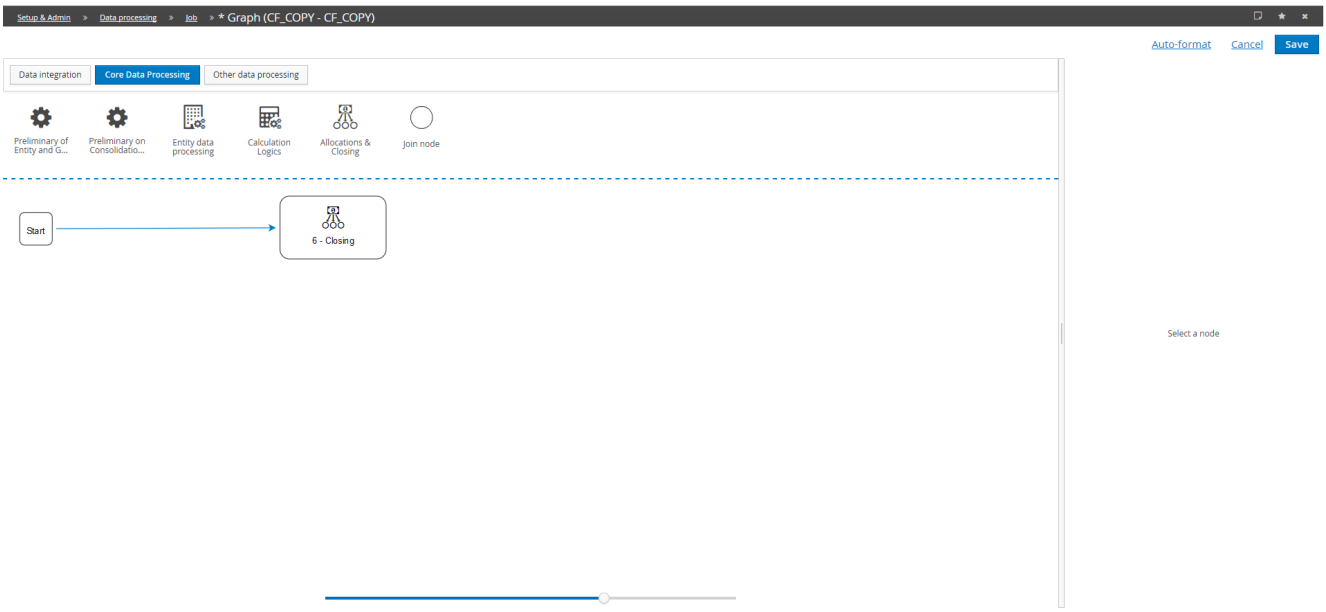
In order to run the data processing, it is necessary to open the form in data entry mode and then click on the  **Data processing** button present in the Data entry ribbon bar and click on the name of the data processing to be run.

Run from job

Tagetik allows the user to run the "Allocations & closing" data processing also from a job task.

Assume that we are in a job and that we want to define a new task to run the above mentioned data processing. Steps to follow:

- define a new task by the **Edit** button of the Job
- The top bar shows the operations that can be added, divided by type. Select the **Core Data Processing** tab
- Drag to the bottom the **Allocation & Closing** icon
- Position it and link it in the Job according to your needs



- On the left hand side of the screen, it is possible to insert the necessary parameters.
  - **Data processing type**:
    - *Allocation*
    - *Target Matching*
  - **Process**
  - **Original Scenario / Period**
  - **Routine**
  - **Rule**. The system requires you to select also the sequence to run
  - **Entity**
  - the detail to store in the journals generated by the system. The following Trace options are available:
    - **Disable.** The system does not trace the steps followed to generate data
    - **Last source.**The system traces and displays only the last step performed. For example, if the rule 001 provides that the cost centre C01 is allocated on the cost centres C02 and C03 and that C02 is allocated on the cost centre C04, the system will display the last data that generated the allocated data C04, namely C02
    - **Detail.** The system traces and displays all the steps performed to generate data. In this case, for the allocated data the system displays the concatenation of the last sources.
    - **From rule.** Can be used to display all the allocation steps which have generated the result, except the rules not included in the execution.

    The last two options are strongly discouraged since they generate a high number of entries that would slow down the data processing and the record layout would be so long that it could not be contained in the field.
  - whether or not the **rounding entries** have to be generated. In the first case the system calculates the allocated values and, if such values do not "empty" completely data to process, it creates a balancing entry. For example, assume that we have to allocate the value of the cost center C00, equal to Euro 100, on the three cost centers C01, C02 and C03 and assume that the value to allocate to each one is one third of the value of C00 and that the estimated number of decimals for the euro currency is 3. The system calculates for each cost center a value equal to 33,333 and generates a balancing entry equal to 0,001. If the rounding entries do not have to be generated, the system just calculates the allocated values regardless of whether or not they zero data to process.
  - whether or not the history of the data processing has to be stored with the detail of each element involved, namely the collection of data to allocate, the targets, the drivers, etc. (**Store partial result**)
  - whether the detail information (**Log detail**) has to be calculated in relation to the execution of

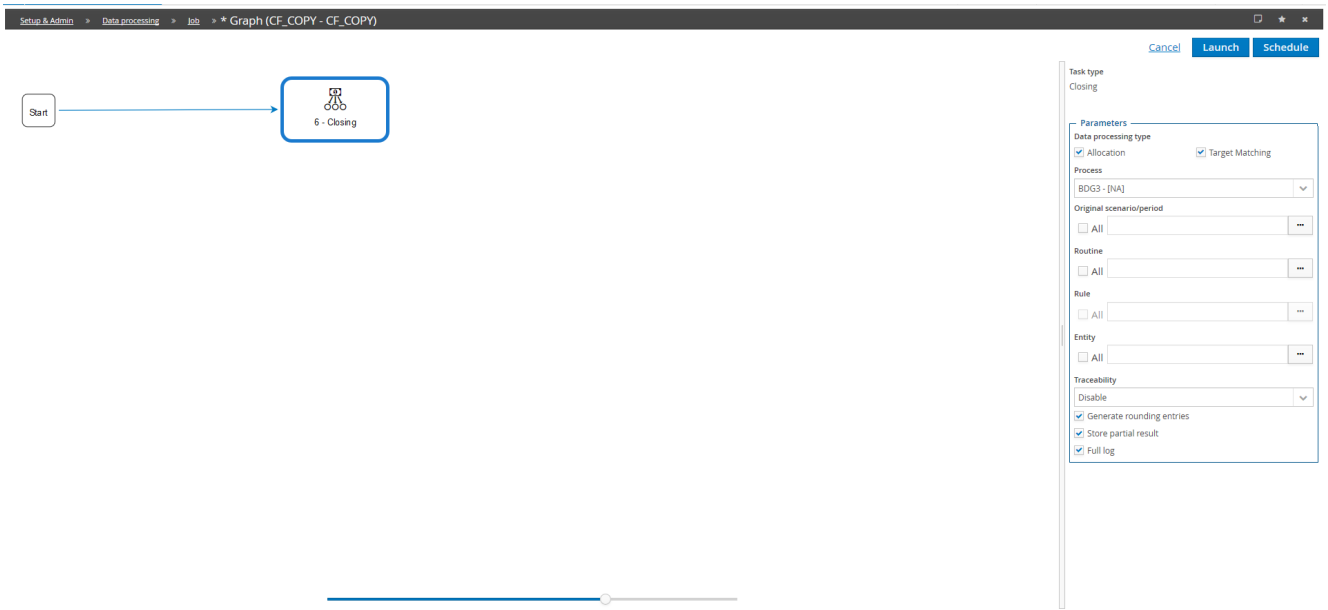
the steps defined for the rules to process. For example, in case of slowness this may help understand which detail causes it.

When selecting the **All** option, the values to be assigned to the corresponding parameter will be determined by the system when running the job and they will correspond to all the existing values, in that moment, for that specific parameter.

When saving, the task can become yellow or red with an exclamation mark on the right corner.

If you put the cursor over the exclamation mark, the system will display the messages about the existing errors that prevent the saving.

The window contains a **Review and launch** link

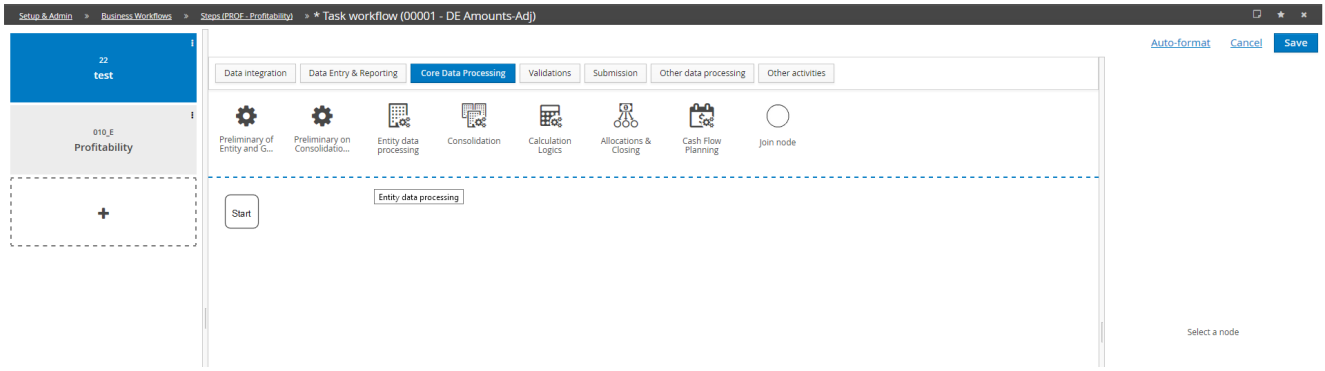


Run from workflow

Tagetik allows the user to run the "Allocation and closing" data processing also from a task of a Business workflow model.

Let us assume that we are in a task flowchart and that we want to define a new task for the execution of such data processing. The steps to follow are:

- select the Business Workflow tile from the administrator homepage > select the desired workflow *Navbar> Processes & Workflows >Process > select process > double click > select step > select entity > Allocation & Closing*
- Actions (⋮) > steps> select a process step
- A list of the workflows related to that step is displayed on the left hand side of the window opened by the system. Select one of them or create a new one by the relevant button on the left side (⊕) and assign code and a description to the workflow;



- In the central part of the window, add tasks to the workflow: drag the desired elements from the list to the chart with the Start button. In our case, we pick the **Allocation and closing** data processing.
- The system will open a window in which to enter:
  - **Code** unique ID of the task
  - **Description** of the task
  - **Optional** makes the task optional, therefore the submission can be done without running it.
  - **Enable e-mail notification** sends a notification via email when the activity contained in the task is complete
  - **Declare task completion** allows you to choose how the completion of the task is declared (Manually or Automatically)
  - **Parameters** here you can define the details of the activity in the task
  - **Label** useful for the purposes of the user rights

In our case, the system allows you to insert the following elements in the **Parameters** box:

- **Allocation** if the activity type is Allocation
- **Target Matching** if the activity type is Target Matching
- **Routine** to run
- **Rule** to run. Further filters can be applied also to the details of the rules/s to run
- if all the defined data processing types (**Family type**) must be run or not . Possible values:
  - *Only Target Matching rules*
  - *Only Allocation Rules*
  - *All*

"Allocation and closing" data processing - Entries creation

Once the system has been fully configured for the allocation and closing process, and the execution plan has been defined, you can run the 'Allocation and Closing' data processing, which generates double-entry postings based on the defined parameters

Let us now take a step-by-step look at how the data processing generates these entries once the process and any other filters to identify the data to be processed have been specified and the n-tuple (Entity/scenario/period/routine) to be run have been selected.

The FIRST STEP consists in deleting all existing entries that are about to be reproduced, specifically:

- in the event of **complete execution** ("Run All" option enabled), the system deletes all Entity journals and detail entries previously generated by the execution of the same n-tuple
- in the event of **partial execution** ("Partialize routine" option enabled), the system deletes all Entity journals and detail entries previously generated by the execution of selected rules only

The SECOND STEP consists in calculating the 'portion' of data to be processed, the drivers to be applied to this data (in the case of data processing belonging to the allocations family except for 'Reclassification'), the target data (in the case of data processing belonging to the target matching family) and the overrides on which to reclassify the data to be processed (in the case of data processing belonging to the 'Reclassification', 'Transfer Price' or Target Matching family).

Let us now see in detail how the system performs the relevant calculations:

- the **data to be processed**, which, depending on the type of data processing associated with the rule, take on different names (data to be processed, to be adjusted or price), are calculated by filtering the existing data based on:
  - the **scenario/period** specified in the execution plan
  - the 'intersection' between the Entity defined in the execution plan and any **Entity** specified in the details of the rule to be run
  - the **categories** to be processed specified in the routine
  - the **account nature** specified in the rule to be processed
  - any **filters** defined on account and custom dimensions when defining the details of the rule to be processed
- the **drivers** to be applied to the data to be processed are calculated in the same way as the data to be processed considering that:
  - the 'Allocation Driver Scenario' can be defined in the execution plan to be used as an alternative to the processing plan
  - the filter defined on the Entities in the execution plan is not applied
  - the filter on the categories to be processed specified in the routine is not applied
  - the filter on the account natures specified in the rules to be processed is not applied
  - the filters defined in the relevant tab ("Allocation Driver" or "Quantity" in the case of "Transfer Price"data processing) on account, Entity and custom dimension are applied when defining the details of the rule to be processed
- the **target data** is calculated differently depending on the type of data processing defined for the rule to be processed, specifically:
  - in the case of "Target Matching", the target data is calculated in the same way as the data to be processed, bearing in mind, however, that the "Target Scenario" to be used as an alternative to the processing scenario may be defined in the execution plan
  - in the case of "Calculated Target Matching (through "fixed %)", the target data is calculated, applying the same filters defined for the calculation of the data to be processed (except for the one defined on the account), as a percentage of the value of the reference accounts specified in the details.
  - in the case of "Calculated Target Matching (through "calculated %" as a ratio)" the target data is calculated in the same manner as for "Calculated Target Matching (through "fixed %)" considering that:
    - the percentage (fixed or automatically calculated by the system) specified in the details is used for the calculation

- the 'Scenario for Impact Calculation' can be defined in the execution plan to be used as an alternative to the processing one

The THIRD STEP consists in generating the adjustment entries. These entries are generated by applying the drivers or target data (depending on the data processing family defined for the rule) to the data to be processed.

Let us now see in detail how the system performs this calculation in the various processes:

- **Allocations (except Reclassification) family**: each data item to be processed is split into as many entries as there are drivers to be applied, taking into account the defined filters and dimensions to be allocated. Each data item to be processed is then written off, creating an entry with opposite sign
- **Reclassification**: the defined override is applied directly to the data to be processed, generating two entries: one reclassification entry, based on the dimensions specified in the rule details, and one with the opposite sign, which writes off the data to be processed
- **Target matching family**: the generated entries are given by the difference between the data to be adjusted and the target data. It is possible to generate adjustment entries with a zero amount if so specified in the detail of the rule to be processed

The FOURTH STEP consists in applying the override to the generated entries. The overrides defined in the rule details are applied to:

- both write-off and allocation entries, in the case of processing belonging to the allocation family
- the write-off entry in case of "Reclassification"



The system always creates double-entry records, so the total of the write-off and allocation overrides (if both are present for the same dimension) will be zero.

If only a write-off (or allocation) override is specified, the system will cancel the allocated (or written off) amounts to ensure that the total in each sequence is zero.

If no override is specified, the dimensions of the data processing result will be exactly that of the data to be processed, except for the dimension where the Allocate option has been activated.

- the target data and the related balance sheet accruals, in the case of data processes belonging to the target matching family

The LAST STEP consists in totalling the detail entries generated in the 'Entry details'. The totalled movements are saved in the table where the Entity journals are managed.

Periodic Allocations

In this chapter we will describe the functioning of the periodic allocations in Tagetik.

Assume that we allocate the value attributed to the account PL00001 on the custom dimension 1 (namely on the cost center) according to the driver DRV1 shown in the table below.

Data to process:

Scenario	Period	Entity	Account	Cost Center	Amount
2014BUD	01	A01	PL00001	NC	100
2014BUD	02	A01	PL00001	NC	300

Driver:

Scenario	Period	Entity	Account	Cost Center	Amount
2014BUD	01	A01	DRV1	C01	10
2014BUD	01	A01	DRV1	C02	10
2014BUD	02	A01	DRV1	C01	20
2014BUD	02	A01	DRV1	C02	30

Let's see how the entries are generated in the tables used by the allocations and closing module, which are:

- the "**Entries details**" table, used by the system to write the detail entries
- the **table of the entity journals**, used by the system to write the same entries but totalled up

Period 01

Detailed entries:

Scenario	Period	Entity	Account	Cost Center	Amount	Entry type
2014BUD	01	A01	PL00001	NC	-100	Chargeback
2014BUD	01	A01	PL00001	C01	50	Allocation
2014BUD	01	A01	PL00001	C02	50	Allocation

Resulting journal entries:

Scenario	Period	Entity	Account	Cost Center	Amount
2014BUD	01	A01	PL00001	NC	-100
2014BUD	01	A01	PL00001	C01	50
2014BUD	01	A01	PL00001	C02	50

As we can see, the entries generated on the period 01 are the same on both tables.

Period 02

The periodic amounts attributed to the account PL00001 and to the driver DRV1 for the period 02 are shown in the table below.

Scenario	Period	Entity	Account	Cost Center	Amount
2014BUD	02	A01	PL00001	NC	200
2014BUD	02	A01	DRV1	C01	10
2014BUD	02	A01	DRV1	C02	20

The system generates the following entries:

Detailed entries:

Scenario	Period	Entity	Account	Cost Center	Amount	Entry type
2014BUD	01	A01	PL00001	NC	-100	Chargeback
2014BUD	01	A01	PL00001	C01	50	Allocation
2014BUD	01	A01	PL00001	C02	50	Allocation
2014BUD	02	A01	PL00001	NC	-100	Carry forward
2014BUD	02	A01	PL00001	C01	50	Carry forward
2014BUD	02	A01	PL00001	C02	50	Carry forward
2014BUD	02	A01	PL00001	NC	-200	Chargeback
2014BUD	02	A01	PL00001	C01	66.6	Allocation
2014BUD	02	A01	PL00001	C02	133.3	Allocation

As we can see, for the calculation of the periodic allocation the system carries forward on the period under consideration (02) the rows generated on the previous period and allocates the periodic amount under consideration according to the driver's periodic amount .

Resulting journal entries:

Scenario	Period	Entity	Account	Cost Center	Amount
2014BUD	02	A01	PL00001	NC	-300
2014BUD	02	A01	PL00001	C01	116.6
2014BUD	02	A01	PL00001	C02	183.3

The generated detail entries are "bundled" in the entity journals table, so that the user can easily consult them.

Allocation between entities

When the Ctp entities become responsible for the "source" entity's services they use, it is necessary to implement an "allocation between entities" method.

To do that, it is necessary to enable the options **Generate CTP on allocation between Entities** and **Read CTP detail** in the routine definition, specifying in the details the entity or the entities on which to perform the allocation.

In this case the system will generate the following entry types:

- Write off: in this case the "Entity" corresponds to the source entity, the "Ctp Entity" corresponds to the driver's entity.
- Allocation: in this case the "Entity" corresponds to the driver's entity, the "Ctp Entity" corresponds to the source entity.

The peculiarities of the allocation between entities are the definition of the Ctp entity as shown above and the way the value to be written off/allocated is expressed in case of entities with different currencies. Indeed in this case:

- the **entity currency amount** related to the write off is always expressed in the source entity's currency, whereas the amount of each allocation entry is converted into the currency of the specific driver's entity. Since such amounts are expressed in different currencies, the summation will never be 0 (independently of the rounding).
- the **transaction currency amount** is always expressed in the currency of the seller entity. The system uses this amount type to calculate the rounding which "empties" the amount to allocate since all the amounts are expressed in the same currency.

The entity currency amounts are converted according to the account's nature (accounts of P&L and other variations nature are converted at the average FX rate, whereas the accounts of BS, other stocks and Guar. and Comm. nature are converted at the final FX rate).

An example of allocation between entities is the case of an holding that sales its own products to the other entities of the group. In order to define the purchase cost to attribute to each "target" entity it is possible to share the revenues of the holding deriving from the sale of the products among the entities of the group using for each one the correct distribution coefficient.

So, in order that the data processing may correctly "rebuild" all the IC relationships resulting from the trade of products between the holding and the other entities, it is necessary to:

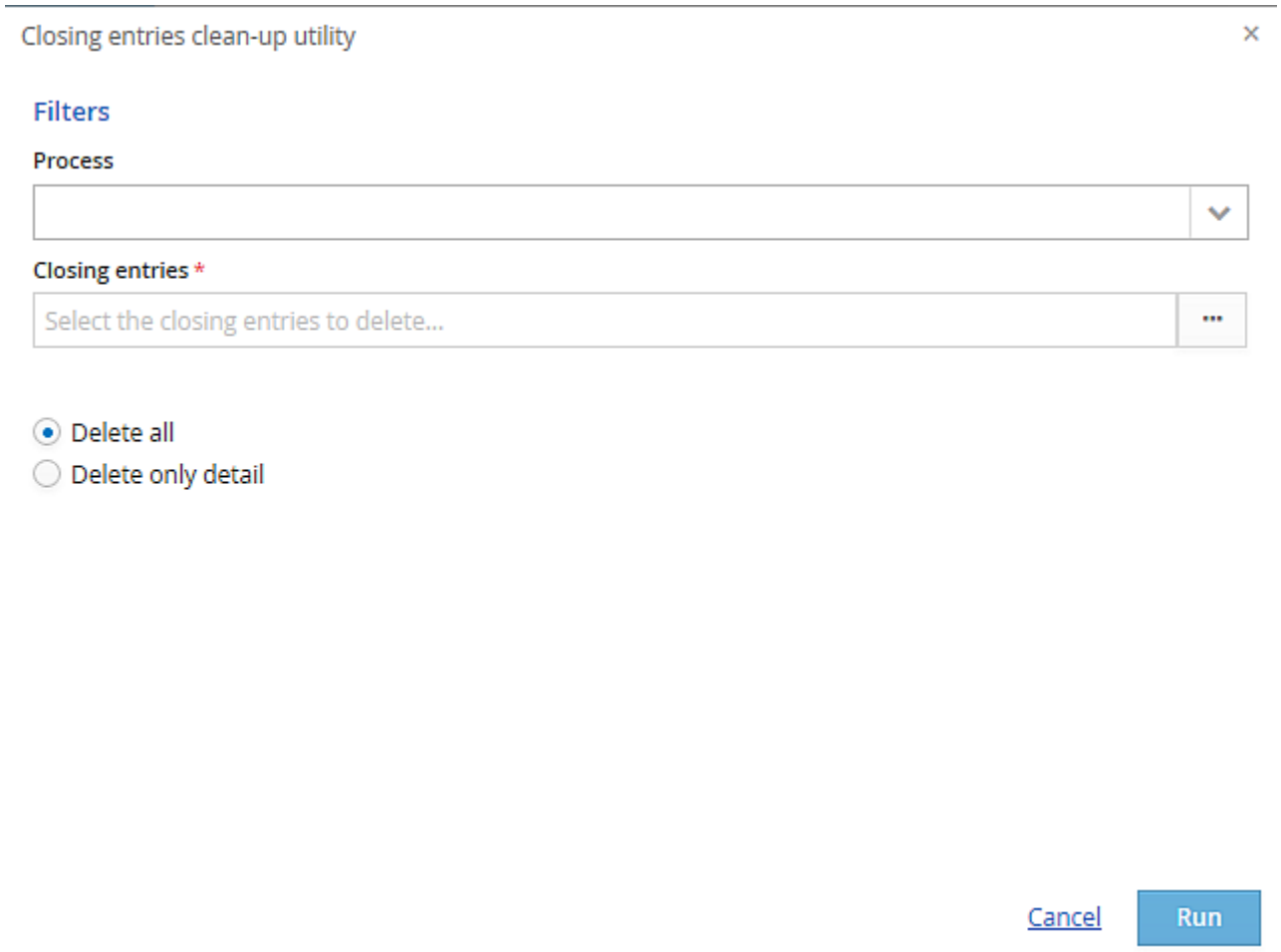
- enable the "Generate Ctp on Journals" option in the routine, specifying the Ctp entities on which to distribute the revenues generated by the products sale
- specify in the details of the allocation rule:
  - data to process, represented by the sale revenues
  - the driver to use to allocate data to process, represented by a different coefficient for each entity of the group. The coefficient, represented by a specific account, can be defined directly by the user by an edit from form or via web
  - the overrides to apply, represented by the "purchase cost" to which the "quota" of data to process has to be attributed

Closing entries clean-up

Tagetik provides the user with a delete function which allows deleting the content of the tables used by the allocations & closing module.

This utility can be accessed from the administrator user web interface by following the path *Setup & Admin > Data processing tile > Data Clean Up > Closing entries*

Navbar > Data processing > Data Clean Up > Closing entries



The user can specify:

- the **Process** in order to filter the data to delete. They can choose among all the process with at least on active and unlocked scenario / period on which the user has edit rights
- the **Closing entries**; it is possible to select the entity journals generated by the Allocation & Closing data processing and then filter them by:
    - *Scenario* belonging to the process, on which the user has edit rights
    - *period* belonging to the process, on which the user has edit rights
    - *Journal number* in order to delete only specific journals
    - *Entity* belonging to the process hierarchy
    - *Routine* routine on which the user has edit rights
    - *Note*

- **Delete all**. The system deletes the detail entries present in the "Entries details" table and data present in the data tables related to the selected entries

- **Delete only detail**. The system deletes only the detail entries present in the "Entries details" table

After selecting the desired deletion type, click **Run** to proceed.

The deletion is irreversible therefore, before clicking the "Run" button, be sure you want to proceed with the purge.

Report

The system report utilities related to the allocations and closing are aimed at simplifying the search of specific information which allows a detailed analysis of data resulting from the closing data processing.

Tagetik provides the following system report types:

- **Entries details** which allows displaying all the entries generated by the system for the combination of dimensions specified in the opening filter

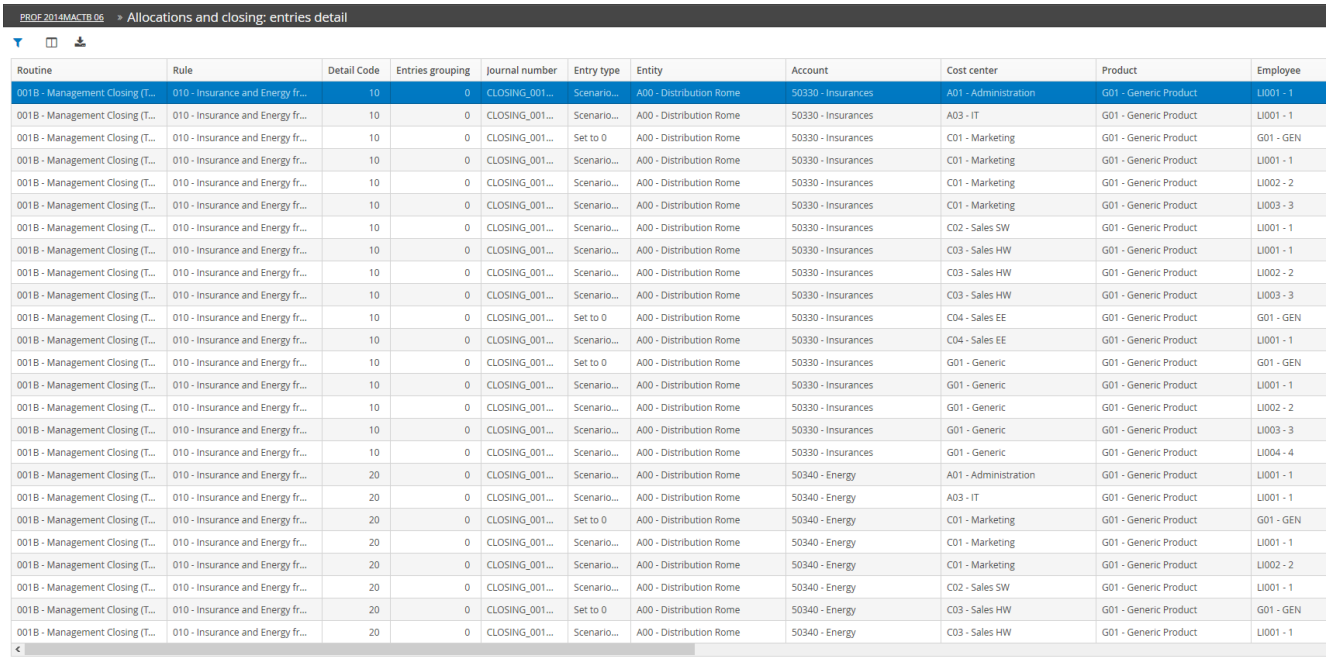
The user visibility rights related to the current user apply to the data visibility.

Entries details report

The "Entries details" report represents a query tool for data resulting from the allocations and closing data processing. It shows the entries generated by the system for the dimensions specified in the initial filter.

The report displays, for each run routine, all the generated entries and for each entry it shows some information such as the rule and the sequence that generated it, the category with which it is labelled, the data processing type by which it has been generated and further additional information.

The "Entries details" report can be accessed from the admin user web interface, Homepage *Process Tile > Select process > select step > Actions column > Process Report> Allocations and closing: entries detail. Navbar> Processes & Workflows > Process > select step > Actions column > Process Report> Allocations and closing: entries detail*


PROF 2014MACTB 06 » Allocations and closing: entries detail

Routine	Rule	Detail Code	Entries grouping	Journal number	Entry type	Entity	Account	Cost center	Product	Employee
001B - Management Closing (T...	010 - Insurance and Energy fr...	10	0	CLOSING_001...	Scenario...	A00 - Distribution Rome	50330 - Insurances	A01 - Administration	G01 - Generic Product	LI001 - 1
001B - Management Closing (T...	010 - Insurance and Energy fr...	10	0	CLOSING_001...	Scenario...	A00 - Distribution Rome	50330 - Insurances	A03 - IT	G01 - Generic Product	LI001 - 1
001B - Management Closing (T...	010 - Insurance and Energy fr...	10	0	CLOSING_001...	Set to 0	A00 - Distribution Rome	50330 - Insurances	C01 - Marketing	G01 - Generic Product	G01 - GEN
001B - Management Closing (T...	010 - Insurance and Energy fr...	10	0	CLOSING_001...	Scenario...	A00 - Distribution Rome	50330 - Insurances	C01 - Marketing	G01 - Generic Product	LI001 - 1
001B - Management Closing (T...	010 - Insurance and Energy fr...	10	0	CLOSING_001...	Scenario...	A00 - Distribution Rome	50330 - Insurances	C01 - Marketing	G01 - Generic Product	LI002 - 2
001B - Management Closing (T...	010 - Insurance and Energy fr...	10	0	CLOSING_001...	Scenario...	A00 - Distribution Rome	50330 - Insurances	C01 - Marketing	G01 - Generic Product	LI003 - 3
001B - Management Closing (T...	010 - Insurance and Energy fr...	10	0	CLOSING_001...	Scenario...	A00 - Distribution Rome	50330 - Insurances	C02 - Sales SW	G01 - Generic Product	LI001 - 1
001B - Management Closing (T...	010 - Insurance and Energy fr...	10	0	CLOSING_001...	Scenario...	A00 - Distribution Rome	50330 - Insurances	C03 - Sales HW	G01 - Generic Product	LI001 - 1
001B - Management Closing (T...	010 - Insurance and Energy fr...	10	0	CLOSING_001...	Scenario...	A00 - Distribution Rome	50330 - Insurances	C03 - Sales HW	G01 - Generic Product	LI002 - 2
001B - Management Closing (T...	010 - Insurance and Energy fr...	10	0	CLOSING_001...	Scenario...	A00 - Distribution Rome	50330 - Insurances	C03 - Sales HW	G01 - Generic Product	LI003 - 3
001B - Management Closing (T...	010 - Insurance and Energy fr...	10	0	CLOSING_001...	Set to 0	A00 - Distribution Rome	50330 - Insurances	C04 - Sales EE	G01 - Generic Product	G01 - GEN
001B - Management Closing (T...	010 - Insurance and Energy fr...	10	0	CLOSING_001...	Scenario...	A00 - Distribution Rome	50330 - Insurances	C04 - Sales EE	G01 - Generic Product	LI001 - 1
001B - Management Closing (T...	010 - Insurance and Energy fr...	10	0	CLOSING_001...	Set to 0	A00 - Distribution Rome	50330 - Insurances	G01 - Generic	G01 - Generic Product	G01 - GEN
001B - Management Closing (T...	010 - Insurance and Energy fr...	10	0	CLOSING_001...	Scenario...	A00 - Distribution Rome	50330 - Insurances	G01 - Generic	G01 - Generic Product	LI001 - 1
001B - Management Closing (T...	010 - Insurance and Energy fr...	10	0	CLOSING_001...	Scenario...	A00 - Distribution Rome	50330 - Insurances	G01 - Generic	G01 - Generic Product	LI002 - 2
001B - Management Closing (T...	010 - Insurance and Energy fr...	10	0	CLOSING_001...	Scenario...	A00 - Distribution Rome	50330 - Insurances	G01 - Generic	G01 - Generic Product	LI003 - 3
001B - Management Closing (T...	010 - Insurance and Energy fr...	10	0	CLOSING_001...	Scenario...	A00 - Distribution Rome	50330 - Insurances	G01 - Generic	G01 - Generic Product	LI004 - 4
001B - Management Closing (T...	010 - Insurance and Energy fr...	20	0	CLOSING_001...	Scenario...	A00 - Distribution Rome	50340 - Energy	A01 - Administration	G01 - Generic Product	LI001 - 1
001B - Management Closing (T...	010 - Insurance and Energy fr...	20	0	CLOSING_001...	Scenario...	A00 - Distribution Rome	50340 - Energy	A03 - IT	G01 - Generic Product	LI001 - 1
001B - Management Closing (T...	010 - Insurance and Energy fr...	20	0	CLOSING_001...	Set to 0	A00 - Distribution Rome	50340 - Energy	C01 - Marketing	G01 - Generic Product	G01 - GEN
001B - Management Closing (T...	010 - Insurance and Energy fr...	20	0	CLOSING_001...	Scenario...	A00 - Distribution Rome	50340 - Energy	C01 - Marketing	G01 - Generic Product	LI001 - 1
001B - Management Closing (T...	010 - Insurance and Energy fr...	20	0	CLOSING_001...	Scenario...	A00 - Distribution Rome	50340 - Energy	C01 - Marketing	G01 - Generic Product	LI002 - 2
001B - Management Closing (T...	010 - Insurance and Energy fr...	20	0	CLOSING_001...	Scenario...	A00 - Distribution Rome	50340 - Energy	C02 - Sales SW	G01 - Generic Product	LI001 - 1
001B - Management Closing (T...	010 - Insurance and Energy fr...	20	0	CLOSING_001...	Set to 0	A00 - Distribution Rome	50340 - Energy	C03 - Sales HW	G01 - Generic Product	G01 - GEN
001B - Management Closing (T...	010 - Insurance and Energy fr...	20	0	CLOSING_001...	Scenario...	A00 - Distribution Rome	50340 - Energy	C03 - Sales HW	G01 - Generic Product	LI001 - 1

The filters suggested by the system are:

- **scenario**
- **period**
- **entity**

Moreover data can be filtered further by defining one or more of the following options:

- **routine** that generated the entry
- **rule** that generated the entry
- **Detail Code** that generated the entry
- **Entries grouping**
- **Journal number**. It represents the unique ID of the entity journal generated by the system and corresponds to the concatenation of the following pieces of information separated by _:
  - CLOSING
  - routine code
  - category code
  - entity code
  - currency code
  - 1 if the journal must be carried forward, otherwise 0
- the **entry type** performed in the specific data processing. Possible values:
  - *Allocations*
  - *Rounding*
  - *Set to 0*
  - *Target Matching*
  - *Accrual*
  - *Adjustment imposition*
  - *Periodic carry forward*
  - *Charged back*
  - *Charge back to delete*
- **account** that generated the entry
- **custom dimension 1...5**.
- **CTP entity** Ctp entity of the entry.
- the **Ctp custom dimension 2**. If the relationship type associated with the process for which the journal is managed is “Entity/Custom dimension 2" or "Entity/synthetic custom dimension 2" the management of the custom dimension 2 is enabled, it represents the element of the Ctp custom dimension 2 in which the entry is inserted.
- the **currency** of the entity
- the **amount** of the entry expressed in the entity's currency
- the **invoice currency**
- the entry's amount expressed in the invoice currency (**Transaction currency amount**)
- **entity, account , custom dimension 1...5** additional filters on the concatenation that identify the steps that generated the entry. This information depends on the traceability chosen when running the data processing.

  If the selected value is:
  - *Disable*: the field is not defined
  - *Last source*: the field contains the code of the dimension that generated the entry at the last step. For example, if the rule 001 provides that the cost centre C01 is allocated on the cost centres C02 and C03 and that the C02 is allocated on the cost centre C04, the system displays, for allocated data C04, the last data that generated it, namely C02
  - *Detail*: the field contains the concatenation of the codes (separated by the symbol "|") identifying the various steps which have generated the entry
  - *From rule*: the field contains the concatenation of the codes (separated by the symbol "|") identifying the various steps which have generated the entry, with the exception of those related to the rules not included in the execution.
- the **data processing type**. It is the data processing type that generated the entry. Possible values:
  - *Allocations*
  - *Account allocations*
  - *Reclassification*
  - *Transfer Price*
  - *Partial allocations*
  - *Scenario target matching*
  - *Calculated target matching (through "fixed %")*
  - *Calculated target matching (through "calculates %" as a ratio)*
- **Period length**
- if the generated entry must be carried forward to the next scenario (**Carry forward** option enabled). Its value corresponds to the value specified in the rule that generated the entry
- **Numerator**. Specifies the data to allocate which is used to generate the entry
- **Denominator**. Specifies the driver used to generate the entry

- the **origin**. It indicates the data processing that generated the entry. All the entries are labelled by the same origin - "PROC_CLOSING" - so actually this is not a real filter but an additional information.
- **User Upd**
- **Data Upd**

Moreover, the system allows applying an additional filter to the concatenation

- of the entities (**Origin Entity**)
- and/or of the accounts (**Origin account**)
- and/or of the custom dimensions 1...5 (**origin custom dimensions 1...5**)

that identify the steps that generated the entry. This information depends on the traceability chosen when running the data processing.